

RETAIL ACCESS TO PRIVATE MARKETS: WHAT ARE THE RISKS?

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In recent years, asset managers have launched dozens of products that provide retail investors with access to private market investments. Sponsors are promoting these funds as a way to “democratize” private markets and give savers an unprecedented opportunity to diversify their portfolios and earn attractive returns. In this paper, I explore the rise of these “retail private funds” and show that they present substantial risks to retail investors. I highlight these risks by analyzing the funds’ legal structures and data collected from their public filings. First, I present evidence that retail private funds, like traditional private funds, report very low return volatilities that understate their risk. However, unlike private funds, these funds admit retail investors and offer periodic liquidity at their reported net asset values, so their underreported volatilities present greater investor protection concerns than private funds’. Second, I provide suggestive evidence that funds sold only to wealthier investors perform better on average than funds sold more broadly. This performance gap raises the possibility that products with subpar performance are being channeled to investors who are less wealthy and less financially sophisticated. I conclude by discussing ways that policymakers could improve retail investors’ investment options and give them the information they need to make informed decisions by altering funds’ disclosure practices and improving sponsors’ incentives.

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*“Assets that will define the future—data centers, ports, power grids, the world’s fastest-growing private companies—aren’t available to most investors. They’re in private markets, locked behind high walls, with gates that open only for the wealthiest or largest market participants.”*¹

- Larry Fink, 2025 Annual Chairman’s Letter to Investors

*“If I told someone with even a little investing experience that I own an asset that pays like stocks but is stable like bonds, they would probably think I was a huckster or a fool. Yet many of the most sophisticated investors claim to own such a thing.”*²

- Nir Kaissar, Bloomberg Opinion columnist and founder of Union Advisors

INTRODUCTION

In 2012, CION Investment Group, a brand-new investment management company, launched a new fund.³ CION’s fund was a joint venture with the private equity giant Apollo Global Management.⁴ The new fund would invest in “alternative,” private investments sourced by CION and Apollo.⁵ Additionally, unlike Apollo’s private funds—which are available only to institutional investors and ultrawealthy individuals⁶—the fund would be open to individuals with modest means. Anyone with an annual income above \$70,000 and a net worth above \$70,000 would be allowed to invest.⁷ Investors would also be allowed to withdraw their money periodically.⁸

¹ Larry Fink, *Larry Fink’s 2025 Annual Chairman’s Letter to Investors*, BLACKROCK (2025), <https://www.blackrock.com/corporate/investor-relations/larry-fink-annual-chairmans-letter>.

² Nir Kaissar, *Harvard and Yale Will Finally Lift the Veil on Private Assets*, BLOOMBERG (June 12, 2025), <https://www.bloomberg.com/opinion/articles/2025-06-12/harvard-and-yale-will-finally-lift-the-veil-on-private-assets>.

³ *Who We Are*, CION INVS. (2025), <https://cioninvestments.com/company/>.

⁴ CION Inv. Corp., Prospectus (Form 497) (July 2, 2012), https://www.sec.gov/Archives/edgar/data/1534254/000114420412037821/v317540_497.htm (cover page).

⁵ *Id.* (pages 1–3 under “Prospectus Summary”).

⁶ Apollo’s funds are typically private funds that rely on the Section 3(c)(7) exclusion in the Investment Company Act of 1940. See Apollo’s most recent Form ADV filing, which is available for download at <https://adviserinfo.sec.gov/firm/summary/143161>. 3(c)(7) funds can only admit individuals with at least \$5 million in investments and institutional investors. 15 U.S.C. § 80a-2(a)(51)(A), § 80a-3(c)(7).

⁷ See CION Inv. Corp., *supra* note 4 (page 143 under “Suitability Standards”).

⁸ *Id.* (“We intend to implement a share repurchase program, but only a limited number of shares will be eligible for repurchase by us.”)

The new CION fund grew quickly, despite charging investors steep upfront fees.⁹ By the end of 2015, it had brought in nearly \$1 billion from investors.¹⁰ Each year, the fund paid a healthy dividend,¹¹ very few investors tried to withdraw their money, and investors who did ask to withdraw money were repaid in full.¹²

A few years later, the situation deteriorated. 2018 was a rough year for the fund, and more investors started asking for their money back. By 2019, the fund was limiting how much money investors could withdraw, and when the COVID-19 pandemic hit in 2020, CION shut down withdrawals entirely. When CION started allowing withdrawals again the following year, requests came pouring in. Eventually, CION decided to list the fund's shares on a stock exchange. That way, investors who wanted to exit could just sell their shares on the exchange instead of waiting for CION to cash them out.

Before the shares started trading, CION reported that they were worth \$16.52 apiece. But when trading started, the going price was only \$11.85. Investors who sold their shares ended up with almost 30% less than their shares were worth on paper.

In this paper, I study the rise of investment funds like CION that provide retail investors with access to private markets. I do so with the goal of understanding the risks they pose to investors. Throughout, I refer to these funds as "retail private funds." By analyzing retail private funds' legal structures and data collected from their SEC filings, I highlight two primary risks. First, I show that retail private funds' reported returns exhibit low volatility and low correlations with public markets that make them appear to be less risky than they really are. Second, I provide suggestive evidence that funds sold only to wealthier investors perform better than funds sold more broadly, raising the concern that retail investors who dabble in private markets are offered worse products than wealthier participants.

⁹ Upfront fees could range up to 10% of the amount invested. *Id.* (see page 17 under "Fees and Expenses" and page 138 under "Compensation of the Dealer Manager and Selected Broker-Dealers").

¹⁰ CION Inv. Corp., Annual Report (Form 10-K) (Mar. 14, 2016), <https://www.sec.gov/Archives/edgar/data/1534254/000153425416000210/body.htm>.

¹¹ For example, the fund paid an approximately 8% dividend to investors each year from 2014 to 2018. See CION Inv. Corp., Annual Report (Form 10-K) (Mar. 19, 2019), <https://www.sec.gov/Archives/edgar/data/1534254/000153425419000004/cion2018123110k.htm>.

¹² I hand collected data on CION's reported net asset values and share repurchases from its Form 10-Ks, Schedule TO-Is, and Schedule TO-I amendments. These forms are available for download at <https://www.sec.gov/edgar/browse/?CIK=1534254&owner=exclude>. I used these data, along with share price data from the Center for Research in Security Prices (CRSP) database to construct Figure 1.

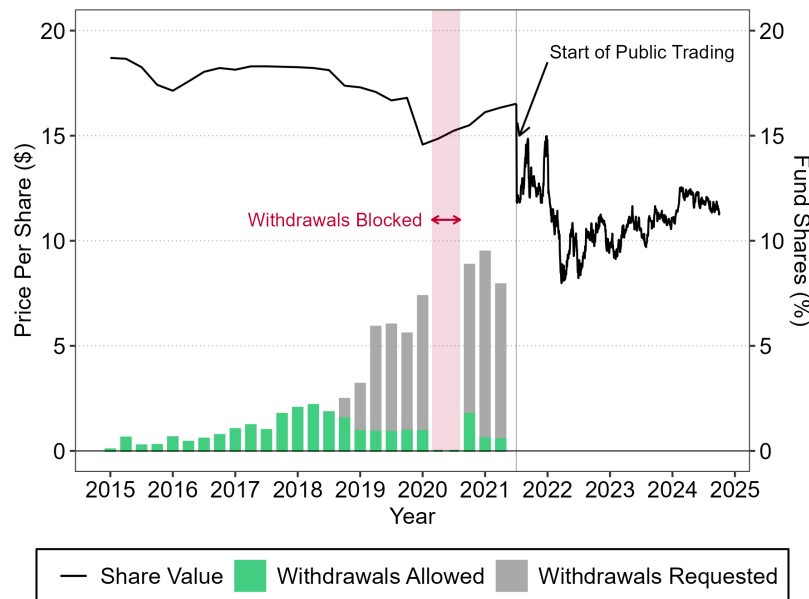


Figure 1: CION Investment Corp. Share Value and Share Repurchases

The rise of retail private funds over the last few years has been fueled by changes in both public and private markets that have increased popular demand for access to private markets. Under U.S. securities laws, “public” investments are available to everyone, are heavily regulated, and come with lots of mandatory disclosures. “Private” investments, on the other hand, are reserved for investors who are wealthy and sophisticated and are subject to far fewer rules.¹³ In recent decades, the number of companies with publicly traded stock has dropped dramatically,¹⁴ and companies seem to increasingly prefer raising money from investors in the private markets.¹⁵ These trends have fed into a powerful narrative that the wealthy individuals who can invest in private markets have access to all of the good investments while less wealthy, “main street” investors are stuck with the public market leftovers.¹⁶

¹³ See *infra* Section I.A for a discussion of the relevant legal rules.

¹⁴ See Mark J. Roe & Charles C.Y. Wang, *Half the Firms, Double the Profits: Public Firms’ Transformation, 1996 – 2022*, 8 J. L., FIN., & ACCT. 211 (2025).

¹⁵ For example, data presented on the SEC’s website show that private securities offerings under Regulation D have increased substantially over the past 15 years. See *Exempt Offerings – Regulation D*, U.S. SEC. & EXCH. COMM’N (May 5, 2025), <https://www.sec.gov/data-research/data-visualizations/exempt-offerings-statistics/exempt-offerings-regulation-d>.

¹⁶ Nir Kaissar, *The Stock Market Is Becoming a Dumping Ground*, BLOOMBERG (Oct. 2, 2024), <https://www.bloomberg.com/opinion/articles/2024-10-02/the-stock-market-is-becoming-a-dumping-ground> (“It’s time to consider the real possibility that the stock market has become a dumping ground for businesses too weak to attract capital in private markets.”).

This narrative has led retail investors to clamor for access to private markets, and the Securities and Exchange Commission (SEC) has seemed increasingly interested in helping them get it.¹⁷

To capitalize on this newfound demand from retail investors, private market heavyweights (like Apollo) have begun launching funds (like the CION fund) designed to bring private investments to the masses. Titans of the industry are heralding these new funds as a golden opportunity for everyday investors to reduce risk by diversifying their portfolios and to build wealth by investing in the “[a]ssets that will define the future.”¹⁸

To create these funds, private fund sponsors have rediscovered and repurposed little-used areas of the federal securities laws. Retail private funds are predominantly structured as business development companies (BDCs) and non-traded (but semiliquid) closed-end funds (CEFs). The funds blend characteristics of traditional private equity and private credit funds with characteristics of the mutual funds that many individuals hold in their retirement accounts: (1) They are accessible to individuals with modest wealth, (2) they invest in private markets—usually by making loans to small and mid-sized businesses—and (3) they provide investors with regular (but limited) opportunities to withdrawn their money. Retail private funds often charge fees that are much higher than the typical fees for mutual funds. Over the past five years, net assets invested in BDCs, which are the most popular fund type today, have nearly quadrupled, growing from just over \$50B to more than \$200B.

The trouble with retail private funds is that, by bringing private market features and practices to less sophisticated investors, they have the potential to create new investor protection problems. The first concern I highlight has to do with funds’ reporting practices. The reported returns of traditional private funds and retail private funds rely heavily on the fund managers’ estimates of what the funds’ investments are worth at a given point in time. Retail private funds are supposed to value their investments at prices that

¹⁷ See, e.g., Commissioner Hester M. Peirce, *Statement on Amending the “Accredited Investor” Definition*, U.S. SEC. & EXCH. COMM’N (Aug. 26, 2020), <https://www.sec.gov/newsroom/speeches-statements/peirce-accredited-investor-2020-08-26> (“Why shouldn’t mom and pop retail investors be allowed to invest in private offerings? ... Private markets ... are where a lot of the economic growth is happening.”); Dylan Tokar & Matt Wirz, *SEC Chair Signals Investor Access to Private Markets Could Soon Broaden*, WALL. ST. J. (May 19, 2025), <https://www.wsj.com/finance/investing/sec-chair-paul-atkins-private-markets-investors-d6d37e3a>; Commissioner Mark T. Uyeda, *Remarks at the Florida Bar’s 41st Annual Federal Securities Institute and M&A Conference*, U.S. SEC. & EXCH. COMM’N (Feb. 24, 2025), <https://www.sec.gov/newsroom/speeches-statements/uyeda-remarks-florida-bar-022425> (“I have directed the Commission staff to explore regulatory changes that enable greater retail investor participation in the private markets”).

¹⁸ See Fink, *supra* note 1.

reflect what those investments could be sold for in the public markets.¹⁹ However, traditional private funds are known for reporting returns that seem implausibly “smooth,” with very low volatility.²⁰ Private funds can consistently report smooth returns because their investments do not have observable market values, so their values are estimated using assumption-laden financial models. Because retail private funds hold similarly hard-to-value investments, their managers may choose to follow private market norms and report smoothed valuations that understate the funds’ risk.

Any gap between actual risk and reported risk is particularly problematic in retail private funds because it sets unwary investors up for unpleasant surprises. During market downturns, retail investors could discover either (1) that they are more likely to lose a substantial portion of their investment than they expected or (2) that they are less able to withdraw their money than they expected. As one journalist put it, “an alternative fund can claim to be low risk and to be at least partly liquid—but, sooner or later, it won’t be able to sustain both claims at once.”²¹ The fact that many retail private funds allow investors to periodically withdraw money at their reported net asset values (NAVs) also creates a situation where substantial value could be transferred from some shareholders to others, particularly during a prolonged downturn.

The CION saga illustrated how some of these risks can play out. CION’s investors found out the hard way that, despite the fund’s relatively smooth and stable reported NAVs, they could never be sure when they would be able to pull their money out. They also learned that reported NAV per share did not reflect what funds shares could be sold for on the open market. Investors who managed to pull out early were fine, but investors who tried to pull out at the wrong time ran into trouble.

Using data from BDCs’ SEC filings, I show empirically that BDCs’ reported returns do, in fact, have improbably low volatilities that seem to

¹⁹ See *infra* Subsection III.A.3 for a discussion of the current legal rules and accounting standards.

²⁰ For commentary on the low volatility of reported private equity returns, compare Cliff Asness, *The Illiquidity Discount*, AQR (Dec. 19, 2019), <https://www.aqr.com/Insights/Perspectives/The-Illiquidity-Discount> and Cliff Asness, *Why Does Private Equity Get to Play Make-Believe With Prices?*, INSTITUTIONAL INV. (Jan. 6, 2023), <http://institutionalinvestor.com/article/2bstqfcskz9o72ospzlds/opinion/why-does-private-equity-get-to-play-make-believe-with-prices> (arguing that private equity funds understate their volatility and that investors may be worse off as a result) with Christopher Schelling, *Why Private Equity Gets Valuations Right*, INSTITUTIONAL INV. (Dec. 14, 2022), <https://www.institutionalinvestor.com/article/2bstolqfnrubgol5zj0g/opinion/why-private-equity-gets-valuations-right> (arguing that private market valuations do a better job of representing companies’ worth than volatile public market prices).

²¹ Jason Zweig, *Wall Street’s Big, Bad Idea for Your 401(k)*, WALL ST. J. (July 25, 2025), <https://www.wsj.com/finance/investing/wall-streets-big-bad-idea-for-your-401-k-f1003137>.

understate their risk. I show this with two primary pieces of evidence. First, I compare the reported performance and actual share price performance of the subset of BDCs that have shares trading on an exchange. An index constructed from the returns of these funds' traded shares has more than four times the volatility of an index constructed from their NAV-based reported returns. Second, I compare the reported returns of BDCs without traded shares to "synthetic" BDC returns that I construct by starting with the returns of publicly traded, leveraged loans (which are similar to BDCs' underlying investments) and adding on BDC-like leverage and fees. I find that, under a range of assumptions, the synthetic BDCs' returns consistently have much higher volatilities than the actual BDCs' reported returns.

The second concern I highlight with retail-focused funds like CION's is that they are being filled with worse investments, on average, than funds sold to wealthier investors. This concern is especially poignant now because, in recent years, institutional investors have reportedly become more reluctant to put money into some types of private funds as their returns have declined.²² Media reports have also highlighted that private fund sponsors are having a hard time exiting their existing investments.²³ It is possible that the new retail funds are a way for the private fund sector to bail itself out by using money from less discerning retail investors to make investments that institutional investors increasingly will not touch.²⁴

I probe this concern by examining differences in performance between BDCs that are sold to different investor groups. I find suggestive evidence that BDCs that are sold only to relatively wealthy investors have higher returns than BDCs like CION that are sold to a broader range of investors, even after controlling for fund size, leverage, and underlying investment type. These results are consistent with the possibility that worse performing funds are being offered to less sophisticated investors while better performing funds are being funneled toward wealthier and more sophisticated investors.

My findings have important and timely policy implications. The current SEC has expressed a great deal of interest in writing rules to facilitate retail access to private markets.²⁵ Additionally, President Donald Trump recently

²² See Leonard Kehnscherper, *Private Equity Fundraising Plunges Amid Struggles to Return Cash* (May 27, 2025), <https://www.bloomberg.com/news/articles/2025-05-27/private-equity-fundraising-plunges-amid-struggle-to-return-cash>.

²³ *Id.*

²⁴ See Jonathan Weil, *Funds Are Booking Big One-Day Windfalls Buying Private-Equity Stakes*, WALL ST. J. (June 7, 2024), <https://www.wsj.com/finance/investing/funds-are-booking-big-one-day-windfalls-buying-private-equity-stakes-664f3423>; Dawn Lim, *Carlyle Makes New Retail Fund Push to Buy and Sell PE Stakes*, BLOOMBERG (June 26, 2025), <https://www.bloomberg.com/news/articles/2025-06-26/carlyle-makes-new-retail-fund-push-to-buy-and-sell-pe-stakes>.

²⁵ See sources cited *supra* note 17.

issued an executive order directing the Department of Labor (DOL) to consider ways to make it easier for investors to access “alternative assets,” like private equity and private credit, in their 401(k)s.²⁶ These public statements suggest that retail private funds are here to stay and that it is more important than ever for policymakers to find ways to address their risks. Because retail private funds have become popular only in the last few years and because there are still relatively few funds, the conclusions I am able to draw are necessarily tentative. Even so, the patterns in the data raise important issues that investors should be wary of and that the SEC and DOL should take seriously.

First, my empirical results suggest that the SEC could play a much larger role in setting the tone for what valuation practices are acceptable in the industry. The SEC could reduce valuation-related problems by pushing fund sponsors through its examination priorities and informal guidance to make sure their fair value estimates align with contemporaneous market movements. The SEC could also require additional disclosures about funds’ valuation assumptions or the returns of public market assets seen as comparable to the funds’ investments.

Second, my results suggest that the SEC should take seriously the possibility that the least wealthy and sophisticated investors able to access retail private funds are being offered the worst products. The SEC could take steps to reduce this selection effect by simultaneously (1) making it easier for fund managers to provide retail investors with access to the same investment opportunities they offer to wealthier customers and (2) making it less lucrative for sponsors and intermediaries to channel worse performing products to retail customers. Part of achieving the latter goal should involve streamlining product offerings and fee reporting to make it easier for retail investors to discern fund quality on their own.

If the SEC enacts sensible reforms in this area, it can further its aims of protecting investors and facilitating capital formation by creating a structure with enough flexibility that it works well for sponsors while still retaining the safeguards necessary for investors to protect themselves.

My paper is part of a rapidly expanding literature in law and finance that studies retail investors’ access to private markets.²⁷ I offer three contributions. First, I provide empirical evidence that previously examined

²⁶ President Donald J. Trump, *Democratizing Access to Alternative Assets for 401(k) Investors*, THE WHITE HOUSE (Aug. 7, 2025), <https://www.whitehouse.gov/presidential-actions/2025/08/democratizing-access-to-alternative-assets-for-401k-investors/>.

²⁷ See generally Colleen Baker & Christina M. Sautter, *Democratization of the Private Markets*, 26 TRANSACTIONS: TENN. J. BUS. L. 67 (2025) (introducing the topic as an area of concern).

features of private markets—namely smoothed valuations²⁸ and performance gaps between investors in different classes²⁹—also appear to be a feature of retail private funds, despite the fact that these funds are much more heavily regulated than traditional private funds. Second, I show conceptually how these features can create new problems in the fund structures being created for retail investors, even if they are less of a concern in private funds targeting sophisticated players. Third, I discuss a variety of policy solutions that are directed at solving the problems I highlight. Other recent, complementary papers study the performance of wealthy individuals in private funds,³⁰ evaluate the returns of non-BDC, retail private funds relative to public and private benchmarks,³¹ discuss the structural problems with democratizing private equity access,³² and analyze the private litigation risks private fund sponsors might expose themselves to by offering retail products.³³

More broadly, my work contributes to the literature on the public-private divide in U.S. securities law by highlighting ways that practitioners are using existing legal structures to blur the public-private boundary.³⁴ My work also

²⁸ Blake Jackson, David C. Ling & Andy Naranjo, *Catering and Return Manipulation in Private Equity* (May 2, 2024) (unpublished manuscript), https://papers.ssrn.com/sol3/papers.cfm?abstract_id=4244467 (“This paper provides evidence ... that PE fund managers strategically report boosted and smoothed returns because doing so allows their investors to report artificially higher and less volatile headline returns to their own stakeholders.”).

²⁹ Josh Lerner, Antionette Schoar & Wan Wongsunwai, *Smart Institutions, Foolish Choices: The Limited Partner Performance Puzzle*, 62 J. FIN. 731, 731 (2007) (“Using detailed, hitherto unexplored records, we document large heterogeneity in the performance of investor classes”).

³⁰ See Cynthia Balloch et al., *Democratizing Private Markets: Private Equity Performance of Individual Investors* (June 2025) (unpublished manuscript).

³¹ See Michael Ewens & Jacob Faber, *Liquid Claims on Illiquid Assets: The Economics of Retail Access to Private Markets* (Feb. 2026) (unpublished manuscript), <https://unlockingalts.com/paper>; Stefano Pegoraro, Sophie Shive & Rafael Zambrana, *Democratizing Illiquid Assets: Liquidity Transformation and Performance in Interval Funds* (July 24, 2025) (unpublished manuscript), https://papers.ssrn.com/sol3/papers.cfm?abstract_id=5365061.

³² William W. Clayton & Elisabeth de Fontenay, *Private Equity for All: The Paradoxical Push to Democratize Private Markets* (Feb. 10, 2026) (unpublished manuscript), https://papers.ssrn.com/sol3/papers.cfm?abstract_id=6157128.

³³ Ludovic Phalippou & William J. Magnuson, *Private Equity, Public Capital, and Litigation Risk* (Nov. 20, 2025) (unpublished manuscript), https://papers.ssrn.com/sol3/papers.cfm?abstract_id=5748424.

³⁴ For some of the many recent articles on the shifting public-private divide, see generally Elisabeth de Fontenay & Gabriel Rauterberg, *The New Public/Private Equilibrium and the Regulation of Public Companies*, 2021 COLUM. BUS. L. REV. 1199 (2021); George S. Georgiev, *The Breakdown of the Public-Private Divide in Securities Law: Causes, Consequences, and Reforms*, 18 NYU J.L. & BUS. 221 (2021); George S. Georgiev, *Is “Public Company” Still a Viable Regulatory Category?*, 13 HARV. BUS. L. REV. 1 (2023);

joins the never-ending stream of academic papers pointing out and offering solutions for the investor protection problems created by new financial products.³⁵

The paper proceeds as follows. Part I provides background information about the public/private divide in the federal securities laws. It explains why it has historically been difficult to provide retail investors with access to private securities and why retail investors might want such access. Part II describes and analyzes the most popular products being created to provide retail access to private markets. Part III discusses theoretical arguments for why the new products might create problems for retail investors. Part IV presents empirical evidence that is consistent with the theoretical concerns discussed in Part III, and Part V discusses my policy recommendations. Part VI concludes.

I. BACKGROUND ON PRIVATE SECURITIES MARKETS

Historically, the United States' securities markets have been divided into two spheres: public and private. In the "public" sphere, public companies and registered investment funds disclose lots of information to the public and anyone is allowed invest in them.³⁶ Private companies and private funds, on the other hand, generally do not make public disclosures,³⁷ and they are only open to investors who pass wealth or sophisticated tests set by the SEC.³⁸ The traditional rationale for these tests is that wealthy or financially

Jared A. Elias & Elisabeth de Fontenay, *The Credit Markets Go Dark*, 134 YALE L.J. 779 (2025).

³⁵ For examples of such papers, see Michael Klausner, Michael Ohlrogge & Emily Ruan, *A Sober Look at SPACs*, 39 YALE J. REG. 228 (2022) (discussing problems with Special Purpose Acquisition Companies (SPACs)); Benjamin P. Edwards, *Conflicts & Capital Allocation*, 78 OHIO ST. L.J. 1 (2017) (using non-traded real estate investment trusts (REITs) and closed-end funds as case studies to highlight financial advisors' conflicts of interest).

³⁶ Regarding public companies, see de Fontenay & Rauterberg, *supra* note 34 at 1209–13. Regarding registered funds, see *id.* at 1213–15; INV. CO. INST., HOW US-REGISTERED INVESTMENT COMPANIES OPERATE AND THE CORE PRINCIPLES UNDERLYING THEIR REGULATION 2–3, 20 (May 2022), <https://www.ici.org/system/files/2023-06/us-reg-funds-principles.pdf>.

³⁷ See de Fontenay & Rauterberg, *supra* note 34 at 1209–15.

³⁸ See *Accredited Investors*, U.S. SEC. & EXCH. COMM'N (June 13, 2025), <https://www.sec.gov/resources-small-businesses/capital-raising-building-blocks/accredited-investors>; *Private Funds*, U.S. SEC. & EXCH. COMM'N (May 15, 2025), <https://www.sec.gov/resources-small-businesses/capital-raising-building-blocks/private-funds>.

sophisticated investors are presumed to be able to “fend for themselves” even without public disclosure.³⁹

Over time, the wall that separates public and private markets and the paternalistic rationale for keeping poor and unsophisticated investors out of private markets have generated a lot of scrutiny. The tension has grown in recent years as two narratives about private markets have become conventional wisdom. The first narrative is that companies and funds are increasingly choosing private markets over public markets, so investors who are stuck in the public markets have less opportunities to diversify away risk than they used to. The second narrative is that the investments in private markets are better than the investments in public markets. These claims have led to intense interest among policymakers from both political parties in expanding access to private markets.⁴⁰

A. What Are the “Private” Markets?

1. Public and Private Companies

When people say that a company is “public,” they are using a shorthand that reflects the company’s status under two federal statutes: the Securities Act of 1933 (’33 Act) and the Securities Exchange Act of 1934 (’34 Act). The ’33 Act requires companies who sell securities in the U.S. to register those securities with the SEC.⁴¹ The ’34 Act requires companies to make ongoing disclosures about their business, finances, and governance.⁴²

The ’33 and ’34 Acts do a good job of forcing lots of information about public companies into the marketplace, but they are expensive for companies

³⁹ U.S. SEC. & EXCH. COMM’N., REVIEW OF THE “ACCREDITED INVESTOR” DEFINITION UNDER THE DODD-FRANK ACT 7 (Dec. 14, 2023), <https://www.sec.gov/files/review-definition-accredited-investor-2023.pdf> (describing the test used by the Supreme Court in *SEC v. Ralston Purina Co.*, 346 U.S. 119, 125 (1953) to determine whether a securities offering qualified for the 4(a)(2) private placement exemption).

⁴⁰ See sources cited *supra* note 17 for examples of comments by SEC officials on the subject. See also Rep. Flood, Rep. Fields, and a Group of Bipartisan Legislators Introduce Bipartisan Equal Opportunity for All Investors Act, CLEO FIELDS: SERVING LA.’S 6TH DIST. (May 14, 2025), <https://fields.house.gov/media/press-releases/rep-flood-rep-fields-and-group-bipartisan-legislators-introduce-bipartisan> (describing a bipartisan bill to allow any individual who passes a FINRA-administered test to access private markets).

⁴¹ 15 U.S.C. § 77e; see also U.S. Sec. & Exch. Comm’n, *The Laws That Govern the Securities Industry*, INVESTOR.GOV, <https://www.investor.gov/introduction-investing/investing-basics/role-sec/laws-govern-securities-industry> (last visited July 28, 2025).

⁴² See de Fontenay & Rauterberg, *supra* note 34 at 1211–12 (citing “Sections 12 and 12 of the Exchange Act and the SEC rules that implement it”).

to comply with.⁴³ The Acts therefore contain a variety of exemptions. The '33 Act's most important exemption is in Regulation D ("Reg D") for companies who (1) do not offer their stock to the public⁴⁴ and (2) sell their stock to only "accredited investors."⁴⁵ Accredited investors, under SEC rules, can be either large institutional investors or individuals, and individuals qualify by having (1) a net worth of more than \$1 million or (2) an individual income greater than \$200,000 per year.⁴⁶

The '34 Act also does not apply to all companies. A company is only covered by the '34 Act if either (1) its stock is listed on a national stock exchange⁴⁷ or (2) its stock is "held of record" by at least 2,000 people.⁴⁸

Most of the time, companies that sell stock to the public also list their shares on an exchange, so they have to comply with both the '33 Act and the '34 Act. For this reason, it is useful shorthand to think of "public" companies as those with shares that anyone can trade on an exchange and lots of public disclosures. Conversely, when people talk about "private" companies, they tend to mean companies that avoid both the '33 and '34 Acts by selling shares to less than 2,000 accredited investors through private placements.

2. Public and Private Funds

Many individuals and institutions invest in securities primarily through investment funds. Funds pool money from lots of investors to buy a portfolio

⁴³ Alix Stuart, *The True Costs of Being Public: More Than You Think*, CFO.COM (Nov. 18, 2011), <https://www.cfo.com/news/the-true-costs-of-being-public-more-than-you-think/667737/>.

⁴⁴ 15 U.S.C. § 77d(a)(2).

⁴⁵ 17 C.F.R. § 230.506(b)(2)(i), (c)(2)(i); § 501(e). See also 17 C.F.R. § 230.506(b), (c); U.S. SEC. & EXCH. COMM'N, *Rule 506 of Regulation D*, INVESTOR.GOV, <https://www.investor.gov/introduction-investing/investing-basics/glossary/rule-506-regulation-d>. In 2024, companies raised \$2.15 trillion through exempt offerings under Reg D compared with \$896 million under Regulation A and \$179 million under Regulation Crowdfunding. *Exempt Offering Statistics*, U.S. SEC. & EXCH. COMM'N (May 5, 2025), <https://www.sec.gov/data-research/data-visualizations/exempt-offerings-statistics>.

⁴⁶ 17 C.F.R. § 501(a)(5). The \$1 million net worth requirement excludes the value of the investor's primary residence. Additionally, couples can qualify if their joint income is greater than \$300,000. The accredited investor rules also allow some individuals to qualify based on their professional qualifications. For example, investment professionals who hold certain licenses (Series 7, 65, or 82) qualify automatically, as do "knowledgeable employees" of private funds (for purposes of investing in their funds). *Accredited Investors*, U.S. SEC. & EXCH. COMM'N (June 13, 2025), <https://www.sec.gov/resources-small-businesses/capital-raising-building-blocks/accredited-investors>; 17 C.F.R. § 501(a)(10), (11).

⁴⁷ 15 U.S.C. § 78l(b).

⁴⁸ 15 U.S.C. § 78l(g). For the second prong to apply, the company also has to have at least \$10 million in assets. The second prong also applies if the company has \$10 million in assets and at least 500 investors who are not accredited investors.

of investments. Like companies, funds are divided by the securities laws into two markets, one that is available to the public and one that is not.⁴⁹ “Registered funds” or “’40 Act funds” can be sold to the public and are regulated under the Investment Company Act of 1940 (‘40 Act).⁵⁰ The mutual funds that many individuals hold in their retirement accounts fall into this category. “Private funds” are not regulated by the ‘40 Act, and they can only accept money from wealthy or sophisticated investors.⁵¹ Private equity, private credit, and hedge funds are typically structured as private funds.⁵²

The ‘40 Act and its accompanying rules require registered funds to disclose lots of information to investors about their management, investments, and fees.⁵³ The Act also restricts registered funds’ activities, often with the goal of reducing conflicts of interest between the funds’ managers (or “sponsors”) and their investors.⁵⁴ For example, the ‘40 Act requires registered funds to include independent directors on their boards, limits fund transactions involving affiliated parties, constrains funds’ use of leverage, and limits funds’ investments in other funds.⁵⁵

Historically, there have been two main flavors of registered funds. “Open-end funds” (more commonly called “mutual funds”) allow investors to enter and exit every day.⁵⁶ Investors who enter the fund purchase new shares from the fund at the fund’s net asset value (NAV).⁵⁷ NAV is the value of the fund’s investments (assets) minus any money owed by the fund (liabilities), divided by the number of fund shares.⁵⁸ Investors who exit a mutual fund sell their shares back to the fund, also at NAV.⁵⁹ Because open-end funds have to be

⁴⁹ de Fontenay & Rauterberg, *supra* note 34 at 1213–15.

⁵⁰ INV. CO. INST., *supra* note 36 at 2–3, 20.

⁵¹ *Private Funds*, U.S. SEC. & EXCH. COMM’N (May 15, 2025), <https://www.sec.gov/resources-small-businesses/capital-raising-building-blocks/private-funds>.

⁵² *Starting a Private Fund*, U.S. SEC. & EXCH. COMM’N (Sept. 19, 2024), <https://www.sec.gov/resources-small-businesses/capital-raising-building-blocks/starting-private-fund>.

⁵³ See de Fontenay & Rauterberg, *supra* note 34 at 1215.

⁵⁴ See 15 U.S.C. § 80a-1(b) (describing the purpose of the ‘40 Act).

⁵⁵ See, e.g., *Investment Company Act*, CORNELL L. SCH. LEGAL INFO. INST. (Feb. 2025), https://www.law.cornell.edu/wex/investment_company_act; MORGAN LEWIS, 1940 ACT REGULATORY CHECKLISTS (May 2021), <https://www.morganlewis.com/-/media/files/publication/report/1940-act-regulatory-checklists.pdf>

⁵⁶ *Mutual Funds*, FINRA <https://www.finra.org/investors/investing/investment-products/mutual-funds> (last visited July 28, 2025).

⁵⁷ *Id.*

⁵⁸ U.S. Sec. & Exch. Comm’n, *Net Asset Value*, INVESTOR.GOV, <https://www.investor.gov/introduction-investing/investing-basics/glossary/net-asset-value> (last visited July 28, 2025).

⁵⁹ *Mutual Funds*, FINRA, <https://www.finra.org/investors/investing/investment-products/mutual-funds> (last visited July 28, 2025).

able to handle daily redemptions, the SEC has adopted rules under the '40 Act that require open-end funds to invest primarily in “liquid” assets that they can sell quickly for cash if needed.⁶⁰ For this reason, mutual funds rarely hold private investments.

The other main type of registered fund is the “closed-end fund.” Closed-end funds traditionally do not allow investors to enter and exit at NAV.⁶¹ Instead, they issue shares that trade on an exchange.⁶² If an investor wants to exit the fund, they sell their shares to another investor. Similarly, if an investor wants to invest in the fund after its initial sale of shares, they buy shares from a current investor. The market price of a closed-end fund’s shares does not have to equal the fund’s NAV.⁶³ In fact, most closed-end fund shares trade at a discount to NAV.⁶⁴ Because closed-end funds do not allow redemptions, they are generally allowed to invest in illiquid securities.⁶⁵

Private funds are investment funds that are exempt from '40 Act registration. To qualify for an exemption, private funds have to limit the number of investors they accept, and they can usually accept only wealthy individuals and institutions.⁶⁶ In fact, the wealth thresholds that typically

⁶⁰ Formally, the rule prohibits a fund from “purchas[ing] additional illiquid investments if more than 15 percent of its net assets are illiquid investments that are assets,” and “[a]n illiquid investment is an investment that the fund reasonably expects cannot be sold in current market conditions in seven calendar days without significantly changing the market value of the investment.” *Investment Company Liquidity Risk Management Program Rules*, U.S. SEC. & EXCH. COMM’N (May 1, 2019), <https://www.sec.gov/resources-small-businesses/small-business-compliance-guides/investment-company-liquidity-risk-management-program-rules>; see also 17 CFR § 270.22e-4.

⁶¹ *Opening Up About Closed-End Funds*, FINRA (June 28, 2023), <https://www.finra.org/investors/insights/opening-up-closed-end-funds>.

⁶² *Id.*

⁶³ *Id.*

⁶⁴ *Id.* (“Most closed-end funds have historically traded at a discount to NAV—a market price lower than the fund's NAV.”); INV. CO. INST., *THE CLOSED-END FUND MARKET*, 2024 4 (Apr. 2025), <https://www.ici.org/system/files/2025-04/per31-04.pdf>.

⁶⁵ *Opening Up About Closed-End Funds*, FINRA (June 28, 2023), <https://www.finra.org/investors/insights/opening-up-closed-end-funds>.

⁶⁶ Private funds are funds that would be required to register under the '40 Act but for one of two exemptions under section 3(c) of the Act. See *Private Funds*, U.S. SEC. & EXCH. COMM’N (May 15, 2025), <https://www.sec.gov/resources-small-businesses/capital-raising-building-blocks/private-funds>. Section 3(c)(1) exempts funds who only sell fund shares through private placements (e.g., under Reg D 506(b) or (c)) as long as they have no more than 100 investors (or 250 investors for a “qualifying venture capital fund”). 15 U.S.C. § 80a-3(c)(1). Additionally, 3(c)(1) funds can generally accept only “qualified clients,” who are individuals with at least \$1.1 million under management by the investment adviser or a \$2 million net worth (excluding their primary residence). 15 U.S.C. § 80b-5(a) (restricting investment adviser compensation based on “capital gains” but not based on income); 17 C.F.R. § 275.205-3 (creating the “qualified client” exception); see also Alexander J. Davie, *Guide to State Investment Adviser Registration Exemptions for Private Fund Advisers*,

apply to private fund investors are much higher than the accredited investor threshold that applies to investing in private companies.⁶⁷ For example, the largest private funds tend to be set up under an exemption that permits only individual investors with investment portfolios worth at least \$5 million.⁶⁸

B. Why Most Individuals Can't Access Private Markets

For decades individual investors have been overwhelmingly excluded from US private markets. Individuals have been kept out by a mix of two things: (1) regulatory requirements baked into private market exemptions and (2) practical features of private market investing that are inconvenient for most individuals.

For starters, the '33 and '34 Acts' requirements make direct investment in private companies unrealistic for most individual investors. First, private companies can sell shares only to accredited investors, so most individuals in the U.S are directly excluded.⁶⁹ Second, most private placements are Rule 506(b) offerings, which require the company selling shares (or the broker-dealers helping to sell shares) to have a “pre-existing substantive relationship” with all investors.⁷⁰ This requirement excludes even some wealthier investors who do not have the necessary connections. Finally, private companies must have fewer than 2,000 shareholders, so they prefer

STRICTLY BUS. (Mar. 27, 2023), <https://www.strictlybusinesslawblog.com/guide-state-investment-adviser-registration-requirements-for-private-fund-advisers/> (discussing state-level requirements that require some non-venture capital 3(c)(1) funds with state-registered advisers to accept only qualified clients); NASAA Model Rule (as amended Oct. 8, 2013), <https://www.nasaa.org/wp-content/uploads/2011/07/NASAA-Registration-Exemption-for-Investment-Advisers-to-Private-Funds-Model-Rule-Amended-Oct.-8-2013.pdf> (state model rule). However, 3(c)(1) funds sponsored by venture capital fund advisers are generally not limited to qualified clients and can accept accredited investors. 15 U.S.C. § 80b-3(l). Section 3(c)(7) exempts funds from registration if they sell fund shares only through private placements and admit only investors who are “qualified purchasers.” 15 U.S.C. § 80a-3(c)(7). Qualified purchasers are individuals who own at least \$5 million “in investments.” 15 U.S.C. § 80a-2(a)(51). A 3(c)(7) fund must have fewer than 2,000 investors to avoid registering with the SEC under the '34 Act. *See supra* note 43 and accompanying text.

⁶⁷ For example, a “qualified client” must have a net worth of \$2 million, and a “qualified purchaser” must have \$5 million in investments. *See supra* note 66. An “accredited investor” needs only a \$1 million net worth. *See supra* note 46 and accompanying text.

⁶⁸ *See supra* note 66.

⁶⁹ U.S. SEC. & EXCH. COMM'N., REVIEW OF THE “ACCREDITED INVESTOR” DEFINITION UNDER THE DODD-FRANK ACT, *supra* note 39 at 26 (estimating that 18% of U.S. households met the accredited investor standard in 2022 and predicting that 30% will meet the standard by 2032).

⁷⁰ *General Solicitation*, U.S. SEC. & EXCH. COMM'N (Aug. 30, 2024), <https://www.sec.gov/resources-small-businesses/capital-raising-building-blocks/general-solicitation>.

shareholders like ultrawealthy individuals and institutions who can write really large checks and keep investing through multiple funding rounds. The 2,000-investor limit also causes many private companies to restrict their shareholders' ability to sell their shares on the secondary market. Companies do this, at least in part, to make sure they do not accidentally cross the 2,000-investor limit. Resale restrictions make direct private company investments even more impractical for the many individuals who might want to sell investments to pay for a major home repair, tuition for their children, or retirement expenses.

In theory, traditional closed-end funds could be used to give many individuals indirect access to private companies. They are allowed to invest in private investments, can be sold to retail customers, and are traded freely on exchanges. But this strategy has never really caught on. Several of the reasons why trace back to the fact that closed-end funds generally trade at a discount to NAV. The '40 Act prohibits closed-end funds from selling shares at a discount to NAV without shareholder approval.⁷¹ This limitation makes it hard for a sponsor to grow a closed-end fund after it has launched. Additionally, in recent years, a handful of hedge funds have developed a strategy of buying up discounted shares in a fund and then using their voting rights to pressure the fund's boards to take actions that close the discount.⁷² These actions include buying back shares at NAV (and shrinking the fund in the process), converting the fund to an open-end fund, or liquidating the fund.⁷³ These hedge fund campaigns have, over time, made closed-end funds a less popular vehicle among sponsors.⁷⁴

Private funds also tend not to be a practical way for individuals to access private markets. For one thing, the high wealth thresholds to access most private funds directly exclude even more individuals than the accredited investor standard. Even for the mass affluent, like lawyers, doctors, and dentists, who qualify under the stricter standards, private funds tend to be out of reach or impractical. Like private companies, private funds can only accept

⁷¹ 15 U.S.C. § 80a-23(b).

⁷² For one prominent example, see Jack Pitcher, *BlackRock Clashes With Hedge-Fund Giant Over Control of Funds*, WALL ST. J. (July 23, 2023), <https://www.wsj.com/finance/investing/blackrock-clashes-with-hedge-fund-giant-over-control-of-funds-15c00a2>.

⁷³ *Id.*

⁷⁴ *Id.* (quoting an “associate general counsel at the Investment Company Institute” as saying that, depending on the outcome of certain cases involving closed-end fund activism, “there’s real concern about the closed-end fund as a viable vehicle going forward.”); see also *Closed-End Fund Activism Surges, Shows Need for Congressional Action*, INV. CO. INST. (May 14, 2024), <https://www.ici.org/news-release/24-news-cef-update> (suggesting that no new traditional CEFs are forming because of activism, while interval and tender offer funds continue to launch).

a limited number of investors, so private fund sponsors prefer to raise money from the investors who can write the biggest checks. As a result, most funds require investors to make minimum investments that are so large that they are unwise (or impossible) for most individuals.

In addition, most private funds give their investors few, if any opportunities withdraw their money during the fund's life.⁷⁵ This weakness is especially true for private equity, venture capital, and private credit funds, where investors have to wait for the sponsor to distribute profits, which can take years.⁷⁶ If an investor wants to exit early, they have to sell their stake in the fund to another investor, which typically requires approval from the fund sponsor.⁷⁷ Additionally, sales take time to negotiate and may occur at a significantly discounted price.⁷⁸

Finally, the capital call model used by many private funds also presents a headache for individual investors and fund sponsors who accept individual investors. When a sponsor launches a new fund, they do not collect money from investors right away. Instead, they wait to collect money until they find an attractive investment opportunity to put the money toward.⁷⁹ Investors have to make sure that they have cash on hand so they can respond promptly when a sponsor calls for capital. On the other side, sponsors face the risk that their individual investors will not have money ready when the fund needs to make an investment or will respond too slowly.⁸⁰

C. Why Retail Investors Want to Access Private Markets

While individuals have been kept out of private markets, two narratives have spurred interest among individual—and especially retail—investors and policymakers in expanding access to private markets. The first is that, over time, investment opportunities have shifted from public markets to private

⁷⁵ U.S. Sec. & Exch. Comm'n, *Private Equity Funds*, INVESTOR.GOV, <https://www.investor.gov/introduction-investing/investing-basics/investment-products/private-investment-funds/private-equity> (last visited July 28, 2025).

⁷⁶ *Id.*

⁷⁷ Caroline Pimpaud, Bahya Bouharati & Nelly Rugambage, *LP-led Secondaries: Trends, Opportunities and Key Considerations*, DLA PIPER (Nov. 10, 2023), <https://www.dlapiper.com/en/insights/publications/2023/11/lp-led-secondaries-trends-opportunities-and-key-considerations>.

⁷⁸ Laura Benitez, Dawn Lim & Allison McNeely, *Elite Colleges Lead a Rush for the Exits of Private Equity*, BLOOMBERG (May 6, 2025) (discussing the challenges faced by university endowments that are trying to get out of private equity funds).

⁷⁹ *Capital Calls*, CARTA (July 11, 2025), <https://carta.com/learn/private-funds/management/capital-calls/>.

⁸⁰ Matt Levine, *Individual Investors Put Up the Cash*, BLOOMBERG (Nov. 14, 2024), <https://www.bloomberg.com/opinion/articles/2024-11-14/individual-investors-put-up-the-cash> (explain the problems with using the capital call model with retail investors).

markets, so investors who invest only in the public markets have less opportunities to diversify their portfolios than investors who have access to private markets as well.⁸¹ The second is that private market investments perform better than public market investments.⁸²

1. Investments Are Shifting Out of Public Markets

The number of public companies trading on national exchanges has fallen sharply over the past two decades. The number of public companies peaked during the Dot-Com boom at more than 7,000, and it currently sits at around 4,000.⁸³ Over the same period, private markets have exploded in size. According to SEC data, capital raised through Regulation D private placements has increased from \$588B in 2009 to \$2.15T in 2024.⁸⁴ Similarly, gross reported assets under management for SEC-reporting private funds has increased from \$8T in the first quarter of 2013 to \$24.3T in the third quarter of 2024.⁸⁵

These trends seem to indicate that private market investment opportunities are growing exponentially while public market opportunities are disappearing. These trends have prompted a lot of handwringing by SEC Commissioners, academics, industry professionals, and journalists about whether individual investors are missing out on important investment opportunities.⁸⁶

⁸¹ Commissioner Hester M. Peirce, *Remarks by Commissioner Peirce at the Third Annual Conference on Emerging Trends in Asset Management*, HARV. L. SCH. FORUM ON CORP. GOVERNANCE (June 10, 2025), <https://corpgov.law.harvard.edu/2025/06/10/remarks-by-commissioner-peirce-at-the-third-annual-conference-on-emerging-trends-in-asset-management/> (“But some asset classes are not fit for the public markets. Accordingly, retail investors and the financial professionals that serve them also are looking for additional diversification in the private markets.”).

⁸² See, e.g., *Reassessing Private Equity*, CHICAGO BOOTH REV. (Oct. 1, 2012) (highlighting research finding “that buyout funds did better than public markets in most vintage years since 1984”).

⁸³ Roe & Wang, *supra* note 14, at 219.

⁸⁴ *Exempt Offering Statistics*, U.S. SEC. & EXCH. COMM’N (May 5, 2025), <https://www.sec.gov/data-research/data-visualizations/exempt-offerings-statistics>.

⁸⁵ *Private Fund Statistics*, U.S. SEC. & EXCH. COMM’N (June 13, 2025), <https://www.sec.gov/data-research/data-visualizations/private-fund-statistics>.

⁸⁶ See, e.g., Peirce, *supra* note 81 (“The breadth of the public markets, where retail investors do most of their investing, has suffered as the number of listed companies has declined”); Jamie Dimon, Chairman and CEO Letter to Shareholders, JPMorganChase (Apr. 7, 2025), <https://www.jpmorganchase.com/ir/annual-report/2024/ar-ceo-letters> (“Our public markets have been shrinking dramatically, which I do not believe is a good thing.”); Jeff Sommer, *The Stock Market Is Shrinking. That’s a Problem for Everyone.*, NEW YORK TIMES (Aug. 4, 2018), <https://www.nytimes.com/2018/08/04/business/shrinking-stock-market.html>; René M. Stulz, *Are There Too Few Publicly Listed Firms in the US?*, HARV. L. SCH. FORUM ON

A shrinking public market is bad for public market investors if these investors are left with fewer opportunities to diversify their investment portfolios. A core principle of modern finance is that diversification reduces risk. The more different types of investments that an investor has in their portfolio, the more the individual, idiosyncratic risks of those investments cancel each other out, reducing the risk of the overall portfolio.⁸⁷ If large segments of the economy are shifting out of public markets and into private markets, then public market investors may have fewer opportunities to spread their assets out across geographies, firms sizes, industries, or asset types, leaving these investors more exposed to risk as a result. These investors could therefore be made better off by gaining access to private market investments.

It is worth acknowledging, however, that not everyone agrees that public markets are shrinking. Professors Mark Roe and Charles Wang have pointed out that the aggregate net income of public companies has actually *increased* over the past 30 years even as the number of firms has decreased.⁸⁸ This is true even when aggregate net income is scaled by GDP.⁸⁹ The aggregate market value of public companies has also steadily increased, even when scaled by GDP.⁹⁰ Roe and Wang conjecture that the declining number of public companies is driven more by factors that have made it more attractive over time for companies to consolidate.⁹¹ If their story is true, public markets may contain roughly the same set of investments that they did 30 years ago, albeit packaged into a smaller number of companies.

2. Private Markets Perform Better

The growth of private markets has prompted a lot of research into how private market investment returns compare to returns available in the public markets. One view motivating this research is that all of the good, high-growth companies are choosing private markets over public markets, so public markets have “become a dumping ground for businesses too weak to

CORP. GOVERNANCE (Apr. 2, 2025), <https://corpgov.law.harvard.edu/2025/04/02/are-there-too-few-publicly-listed-firms-in-the-us/>.

⁸⁷ See *Asset Allocation and Diversification*, FINRA, <https://www.finra.org/investors/investing/investing-basics/asset-allocation-diversification> (last visited July 28, 2025).

⁸⁸ Roe & Wang, *supra* note 14, at 226.

⁸⁹ *Id.* at 227.

⁹⁰ *Id.* at 230.

⁹¹ See *id.* at 237–45; see also Xiaohui Gao, Jay R. Ritter & Zhongyan Zhu, *Where Have All the IPOs Gone?*, 48 J. FIN. & QUANTITATIVE ANALYSIS 1663, 1663 (2013) (making a related argument).

attract capital in private markets.”⁹² Most of the research has focused on private fund performance because most investors who invest in private markets do so through private funds.

The private fund performance literature has generally concluded that, net of fees, private equity and venture capital funds perform at least as well as, and sometimes significantly better than, the public stock market. Researchers seem to agree that the performance of early private equity and venture capital funds (i.e., those launched before about 2006) was very good.⁹³ This impressive early performance has likely contributed to the enduring impression the private equity and venture capital outperform.

However, research also seems to show that the performance of private equity and venture capital funds has been less impressive at times. Sources seem to agree that the average, net of fees returns of private equity buyout funds have been “roughly equal to those of public markets” over the past twenty years.⁹⁴ Additionally, venture capital funds struggled during the early 2000s.⁹⁵

Research on private credit fund performance is less well-developed than research on other private funds, but early evidence suggests that private credit funds perform at least as well as, and likely better than, a variety of publicly traded fixed income benchmarks.⁹⁶

⁹² Kaissar, *supra* note 16 (arguing that “the quality of small public companies ... has deteriorated significantly”); cf. Cliff Asness et al., *Size Matters, If You Control Your Junk*, 129 J. FIN. ECON. 479 (2018) (finding that small public companies outperform large public companies but that the outperformance only shows up strongly if you control for company quality).

⁹³ See, e.g., Ludovic Phalippou, *An Inconvenient Fact: Private Equity Returns and the Billionaire Factory*, 30 J. INVESTING 11, 17 (2020) (“Vintage years 1996-2005 strongly outperform the S&P 500.”); Robert S. Harris, Tim Jenkinson & Steven N. Kaplan, *Private Equity Performance: What Do We Know?*, 69 J. FIN. 1851, 1851 (2014) (“Outperformance versus the S&P 500 averages 20% to 27% over a fund’s life and more than 3% annually.”); Gregory W. Brown et al., *What Do Different Commercial Data Sets Tell Us About Private Equity Performance?* 4 (Dec. 21, 2015) (unpublished manuscript) (“The typical North American buyout fund return has exceeded those from public market in almost all vintage years before 2006. ... North American venture funds started in the 1990s substantially outperform public equities.”).

⁹⁴ Brown et al., *supra* note 93 at 4 (“Since 2006, [typical North American] buyout funds’ performance has been roughly equal to those of public markets.”).

⁹⁵ *Id.* (finding that “North American venture funds ... started since 2000 have generally underperformed”).

⁹⁶ See, e.g., Pascal Böni & Sophie Manigart, *Private Debt Fund Returns, Persistence, and Market Conditions*, 78 FIN. ANALYSTS J. 121, 121 (2022) (“We document that private debt funds outperform bond and equity market benchmarks in the cross-section”); Pascal Böni & Frans de Rooy, *Risk-Adjusted Private Debt Fund Performance and the Term Structure of Alphas 1* (Nov. 10, 2023) (unpublished manuscript) (“[W]e find annual alphas over six percent.”); Shawn Munday et al., *Performance of Private Credit Funds: A First Look 1* (May 7, 2018) (unpublished manuscript) (“Measures of relative performance (PMEs) suggest that

That said, general statements about average performance in private markets obscure a large amount of variation in performance across different funds and different investors. For example, research seems to agree that a subset of private fund sponsors consistently outperform public markets,⁹⁷ while other sponsors consistently underperform. Variation in returns is particularly stark in venture capital, where returns follow a “power law” distribution: most start-up investments result in losses or underperformance, but a select few produce extraordinary gains.⁹⁸ The ability to consistently pick “winners” leads to consistently superior performance for a subset of fund managers.⁹⁹ Research also shows that some large investors are better than others at consistently picking the best private funds to invest in.¹⁰⁰

II. GETTING RETAIL INVESTORS INTO PRIVATE MARKETS

As individual investors and policymakers have become interested in expanding access to private market investments, private fund sponsors have become interested in capitalizing on this demand by creating products targeted at retail investors. As a result, private fund sponsors have launched an array of products over the past decade that combine features of private funds and registered funds and can be sold to retail investors under current law. Most of the new funds follow private credit strategies rather than the private equity and venture capital strategies that retail investors seem most keen on accessing. Even so, they provide a small window into what a world would look like with full retail access to private markets.

In this Part, I analyze the legal structure of the new funds being launched by private fund sponsors for retail investors. Most of the funds use a variation of one of two previously unpopular fund types: closed-end funds, which were discussed in the previous section, and Business Development Companies (or

private credit funds have performed about as well, or better than, leveraged-loan, high yield, and BDC indexes.”).

⁹⁷ See, e.g., Robert Kosowski, Narayan Y. Naik & Melvyn Teo, *Do Hedge Funds Deliver Alpha? A Bayesian and Bootstrap Analysis*, 84 J. FIN. ECON. 229, 229 (2007) (“[W]e find that top hedge fund performance cannot be explained by luck, and hedge fund performance persists at annual horizons.”); Robert S. Harris et al., *Has Persistence Persisted in Private Equity? Evidence from Buyout and Venture Capital Funds*, 81 J. CORP. FIN. 1, 1 (2023) (“Venture capital (VC) performance remains remarkably persistent across funds raised by the same general partner (GP).”).

⁹⁸ Decile Group, *3.1 – The Power Law in VC*, VC LAB: VENTURE INSTITUTE (2026), <https://govclab.com/2023/08/09/the-power-law-in-vc/>.

⁹⁹ Harris et al., *supra* note 97, at 1.

¹⁰⁰ Lerner, Schoar & Wongsunwai, *supra* note 29, at 731 (“Analysis of reinvestment decisions suggests that endowments (and to a lesser extent, public pensions) are better than other investors at predicting whether follow-on funds will have high returns.”).

“BDCs”), which are essentially closed-end fund with a few regulatory quirks.¹⁰¹ Sponsors have been using these fund structures to combine features of classic private and registered funds and solve some of the problems associated with those vehicles.

A. Business Development Companies

BDCs were created by statute in 1980 to increase financing available to “small and middle-market businesses.”¹⁰² BDCs are not true registered funds because they are subject to only part of the ’40 Act.¹⁰³ They also have several unique regulatory requirements. The most important is that BDCs are required to invest at least 70% of their assets in private companies or very small public companies.¹⁰⁴ These investments can either be debt or equity investments, though most BDCs today primarily make loans.¹⁰⁵ BDCs must also offer “significant managerial assistance” to their portfolio companies.¹⁰⁶

In exchange for providing loans to small and mid-sized business, BDCs get a few special benefits. One benefit is that BDC sponsors are allowed to charge performance fees on interest income and capital gains without limiting their investors to qualified clients.¹⁰⁷ Another benefit is that BDCs are allowed to borrow more money to leverage their shareholders’ returns than other types of investment funds.¹⁰⁸ By statute, BDCs are allowed to use up to \$1 of debt for every \$1 they raise from investors (debt-to-equity ratio of

¹⁰¹ For a thorough academic treatment of BDCs along with some data about their development through 2017, see generally A. Joseph Warburton, *Business Development Companies: Venture Capital for Retail Investors*, 76 BUS. LAW., Winter 2020-2021, at 59.

¹⁰² *What is a BDC*, Blue Owl Cap. Corp., <https://www.blueowlcapitalcorporation.com/about-blue-owl-capital-corp/what-is-a-bdc> (last visited July 28, 2025).

¹⁰³ U.S. Sec. & Exch. Comm’n, *Publicly Traded Business Development Companies (BDCs)*, INVESTOR.GOV, <https://www.investor.gov/introduction-investing/investing-basics/investment-products/closed-end-funds/publicly-traded-business-development-companies-bdcs>.

¹⁰⁴ *Id.*

¹⁰⁵ *What is a BDC*, *supra* note 102 (“[M]ost BDCs provide financing solutions to U.S. domiciled middle-market businesses by raising equity capital from retail and institutional investors and deploying the equity capital in the form of *senior secured, floating rate loans*.” (emphasis added)).

¹⁰⁶ Harry S. Pangas, *Everything You Need to Know About BDCs*, DECHERT LLP (Mar. 9, 2020), <https://www.dechert.com/content/dam/dechert%20files/people/bios/p/harry-pangas/HarryPangasAllYouNeedToKnowAboutBDCs.pdf> (slide 32).

¹⁰⁷ *Id.* (slide 42). A third benefits is that BDCs have fewer statutory restrictions on their ability to engage in transactions with affiliated parties. That said, much of the current practice around affiliated transactions by BDCs and closed-end funds is governed by a framework for seeking exemptive relief operated by the SEC. *Id.* (slide 31).

¹⁰⁸ *Id.* (describing BDCs and other investment companies’ asset coverage requirements on slide 30).

1).¹⁰⁹ If a BDC receives shareholder approval and complies with additional disclosure requirements, it can then use up to \$2 of debt for every \$1 from investors (debt-to-equity ratio of 2).¹¹⁰

Today, BDC sponsors structure their offerings in one of three different ways. These structures differ in the way they are distributed to end investors, which means they have different regulatory requirements.

The first type of BDC is the *public BDC*. Public BDCs have shares that are traded on a stock exchange, so they are very similar to traditional closed-end funds.¹¹¹ Investors who want to invest in public BDCs can quickly and easily buy and sell shares in their personal brokerage accounts. Like traditional closed-end fund shares, publicly traded BDC shares can trade at either a discount or premium to NAV. This fact makes it challenging for publicly traded BDCs to grow once they have launched. BDCs, like traditional closed-end funds, are not generally allowed to issue shares below NAV.¹⁴ Until recently, most BDCs were publicly traded, but they are much less popular today.¹¹²

The second type of BDC is the *non-traded BDC*. Like publicly traded BDC shares, non-traded BDC shares are registered under the '33 Act.¹¹³ However, they are not listed on an exchange.¹¹⁴ Because non-traded BDC shares do not trade freely, they are sold to the public through financial intermediaries, like brokers and investment advisers. Then, non-traded BDC investors cannot sell their shares until the BDC sponsor provides them with a path to liquidity. Typically, non-traded BDCs offer to repurchase shares from their investors at NAV at set intervals.¹¹⁵ For example, a BDC might offer to purchase up to 5% of outstanding shares at NAV every quarter. If investors try to sell more than 5% of the outstanding shares in a given quarter, then the BDC usually repurchases shares proportionally from each investor until it reaches 5% of shares outstanding. While 5% repurchase offers are common, non-traded BDC sponsors retain discretion over how many shares they offer to repurchase. Finally, investors in some non-traded BDCs have to pay a penalty if they exit the BDC within a short time after investing.

¹⁰⁹ 15 U.S.C. § 80a-60(a)(2).

¹¹⁰ *Id.*

¹¹¹ Pangas, *supra* note 106 (slide 10).

¹¹² See *infra* Section II.A.2 for data on the number of BDCs by type.

¹¹³ Pangas, *supra* note 106 (slide 20); see also Christopher P. Healey & Jasmin Ali, *BDCs 101: The Board Perspective*, SIMPSON THACHER (Oct. 13, 2021), <https://www.mfdf.org/docs/default-source/default-document-library/archive-material/bdcs-101-the-board-perspective.pdf> (slide 7).

¹¹⁴ Pangas, *supra* note 106 (slide 20).

¹¹⁵ *Id.*

In some cases, like the CION case discussed in the introduction, non-traded BDCs list their shares on an exchange after several years to give investors additional flexibility to exit.¹¹⁶

The partial liquidity of non-traded BDCs solves several of the problems associated with public BDCs. First, it guarantees that investors will be able to exit their investments at NAV (as long as they are sufficiently patient) rather than having to sell at a discount. Second, it allows the BDC to continually offer shares priced at NAV to the public. These continuous offerings allow non-traded BDCs to continue to grow after they launch.

The disadvantage of partial liquidity is that it makes it harder for investors to pull their money out whenever they want to. An investor might have to wait multiple quarters to fully exit an investment if repurchase offers are oversubscribed or if the BDC sponsor decides not to repurchase shares at all. Repurchase offers may be especially likely to be delayed or oversubscribed during downturns, when losses start piling up and liquidity is at a premium. That said, access to partial liquidity is likely a better option for retail investors than having no liquidity, as is common among traditional private funds.

For several years, non-traded BDCs had an advantage over other types of BCDs when it came to distribution. In 2020, the SEC started approving multiple share class structures for non-traded BDCs but not other types of BDCs.¹¹⁷ Having multiple share classes allows a fund to charge different fees to different investors. They usually also have different minimum investment requirements. Mutual funds and closed-end funds have long used multiple share classes to make it easier for them to market a single fund to lots of different types of investors. The fees on the retail share classes are used, at least in part, to pay sales commissions to the brokers and registered investment advisers who sell the fund's shares to investors. These commissions can be as high as 3.5% of the NAV of shares sold.¹¹⁸ Non-

¹¹⁶ *See id.*

¹¹⁷ *Challenges and Progress in Multi-Share Class Exemptive Relief for BDCs*, DECHERT: THE CRED (Oct. 25, 2024), <https://www.dechert.com/knowledge/the-cred/2024/10/challenges-and-progress-in-multi-share-class-exemptive-relief-fo.html>. Multiple share classes with different fees are allowed for open-end funds under Rule 18f-3 of the '40 Act, 17 C.F.R. § 270.18f-3, and the SEC has long allowed traditional closed-end funds to seek exemptive relief to be able to sell multiple share classes, *Good News Coming Out of the SEC for BDCs (and Hopefully More to Come)*, DECHERT (Mar. 21, 2025), <https://www.dechert.com/knowledge/onpoint/2025/3/good-news-coming-out-of-the-sec-for-bdcs--and-hopefully-more-to-.html>.

¹¹⁸ As an example, Blackstone Private Credit Fund (BCRED) the largest BDC, is a non-traded BDC with a typical multiple share class structure. Blackstone Private Credit Fund, Registration Statement (Form N-2) (Apr. 25, 2022), <https://www.sec.gov/Archives/edgar/data/1803498/000119312522117898/d356740dn2.htm> (see "Plan of Distribution" on page 284). BCRED's Class S shares are "available through brokerage and transactional-based accounts" of the type that a typical retail investor might

traded BDCs are therefore able to market their BDCs broadly through a variety of paid distribution channels that were less accessible to other BDCs.

Finally, non-traded BDCs have a significant disadvantage to other types of BDCs in that they are generally more expensive to launch. Public offerings of non-traded BDCs have to be conducted in compliance with state securities laws, known as “blue sky” laws.¹¹⁹ For many categories of securities—including securities listed on national stock exchanges, securities issued by mutual funds and closed-end funds, and securities issued in Reg D private placements¹²⁰—the federal securities laws preempt state laws.¹²¹ But non-traded BDCs’ shares fall through the cracks of this federal preemption. Non-traded BDC offerings therefore need to be structured to comply with the securities laws of each of the states in which the offering will be sold (usually all 50 states). The process of ensuring compliance can be time consuming and expensive.¹²²

The third type of BDC is the *private BDC*. Private BDCs are sold through Reg D private placements only to accredited investors, so they should be thought of as targeting the “mass affluent” (like lawyers, dentists, and

use. *Id.* (see pages 284–86). In addition to the management fees, performance fees, interest payments, and other expenses that all of the classes share, Class S shares have additional “shareholder servicing and/or distribution fees” of 0.85% of NAV per year, and they allow intermediaries selling the shares to charge up to 3.5% of NAV as an “upfront placement fee[]” or commission *Id.* (see pages 285–86). In contrast, the Class I shares—which have a \$1 million minimum investment—have no shareholder servicing fees and no commissions. *Id.* (see pages 14, 284–86). These extra fees for retail shares can have a big impact: over a five-year time period, a fund that returns 10% annually to an institutional investor would only return 8.49% to an individual paying an extra 0.85% per year in servicing fees and a 3% upfront sales load.

¹¹⁹ SEC Multi-Class Exemptive Relief for Privately Offered BDCs and Closed-End Funds, PROSKAUER (Mar. 19, 2025), <https://www.proskauer.com/alert/sec-multi-class-exemptive-relief-for-privately-offered-bdcs-and-closed-end-funds>.

¹²⁰ 15 U.S.C. § 77r(b). These securities are called “covered securities” under the National Securities Markets Improvement Act of 1996 (NSMIA). *Federal Covered Securities*, STATE OF WIS. DEP’T OF FIN. INST., <https://dfi.wi.gov/Pages/Securities/Filings/FedCoveredSecuritiesGeneralInfo.aspx> (last visited July 29, 2025); 15 U.S.C. § 77r.

¹²¹ 15 U.S.C. § 77r.

¹²² State blue sky laws may also require that securities be sold only to investors who meet minimum “suitability standards.” Pangas, *supra* note 106 (slide 23). The standards are lower than the accredited investor requirements in Reg D, but they still exclude some investors. For example, it is common for non-traded BDCs to sell only to investors who have (1) “a net worth of at least \$250,000” or (2) “a gross annual income of at least \$70,000 and a net worth of at least \$70,000.” Blackstone Private Credit Fund, *supra* note 118 (see page i). Some states also limit the amount each investor can invest in non-preempted offerings to a certain percentage of the investor’s net worth. *Id.* (see pages i–ii).

business owners, for example) rather than true retail investors.¹²³ Unlike private funds, private BDCs can accept an unlimited number of investors.

Private BDCs can be structured in two different ways. The first option is essentially the same as the capital call model used by traditional private funds: investors commit money up front but do not send it to the BDC until the sponsor has identified a worthwhile investment.¹²⁴ Private BDCs that use a private fund-like model may provide liquidity to their investors after several years by listing their shares on an exchange or by liquidating the fund.¹²⁵

In the second option, a private BDC operates like a non-traded BDC. The BDC receives capital from investors up front, invests that capital, and then provides liquidity to investors by periodically repurchasing shares.¹²⁶

Private BDCs have historically not been allowed to issue multiple share classes, which has limited their flexibility in selecting distribution channels. However, in March 2025, the SEC approved multiple share class structures for seven new private BDCs.¹²⁷ This structure may become popular as a result of this change.¹²⁸

Like non-traded BDCs, private BDCs usually have a minimum investment requirement.

All three types of BDCs are subject to rules in the '40 Act that prohibit them from investing in deals alongside other funds managed by the same sponsor, unless the transaction is blessed by the SEC.¹²⁹ These types of deals are commonly referred to as “co-investments.”¹³⁰ Over time, the SEC has developed a practice of granting exemptive orders under Rule 17d-1 that allow sponsors to operate “co-investment program[s].”¹³¹ Generally

¹²³ Pangas, *supra* note 106 (slide 10).

¹²⁴ *Id.* (slide 15).

¹²⁵ *Id.* (slide 10).

¹²⁶ *Demystifying the Three Main BDC Structures*, DECHERT: THE CRED (July 19, 2024), <https://www.dechert.com/knowledge/the-cred/2024/7/demystifying-the-three-main-bdc-structures.html> (describing the rise of “perpetual-life” private BDCs).

¹²⁷ *Good News Coming Out of the SEC for BDCs (and Hopefully More to Come)*, *supra* note 117.

¹²⁸ *SEC Multi-Class Exemptive Relief for Privately Offered BDCs and Closed-End Funds*, *supra* note 119 (“With the new Private Placement Multi-Class Relief, we believe that there will likely be a significant shift within the non-listed BDC space towards private placement offerings, which avoids the need for the more cumbersome state “blue sky” registration process.”).

¹²⁹ 15 U.S.C. § 80a-56(a)(4); 17 C.F.R. § 270.17d-1; *see SEC Notices Simplified Co-Investment Relief: A Sigh of Some Relief for Regulated Funds and Their Affiliates*, ROPES & GRAY (Apr. 16, 2025), <https://www.ropesgray.com/en/insights/alerts/2025/04/sec-notices-simplified-co-investment-relief-a-sigh-of-some-relief>.

¹³⁰ *SEC Notices Simplified Co-Investment Relief: A Sigh of Some Relief for Regulated Funds and Their Affiliates*, *supra* note 129.

¹³¹ *Id.*; *see also* David Blass & Rajib Chanda, *The Evolution of Co-Investment Exemptive Orders and Why They Should Become Extinct*, SIMPSON THACHER (Oct. 15, 2018),

speaking, these programs allow the sponsor's BDCs to invest alongside its private funds as long as the BDC participates in each deal on the same terms as the private funds and the sponsor has policies in place designed to ensure that the BDC gets a fair allocation of investment opportunities.¹³² The SEC's evolving exemptive order practices have made BDCs a more attractive vehicle for traditional private fund managers.

Figure 2 shows the total NAV of the three types of BDCs in each quarter from Q1 2015 through Q4 2024. The figure shows that BDC net assets have grown significantly over the past decade, from around \$50B in 2015 to more than \$200B by the end of 2024. The growth has been particularly fast over the past five years. Figure 2 also highlights that public BDCs used to be the most common type but have now been surpassed by non-traded BDCs. Private BDCs are least common by net assets, but they are growing quickly.

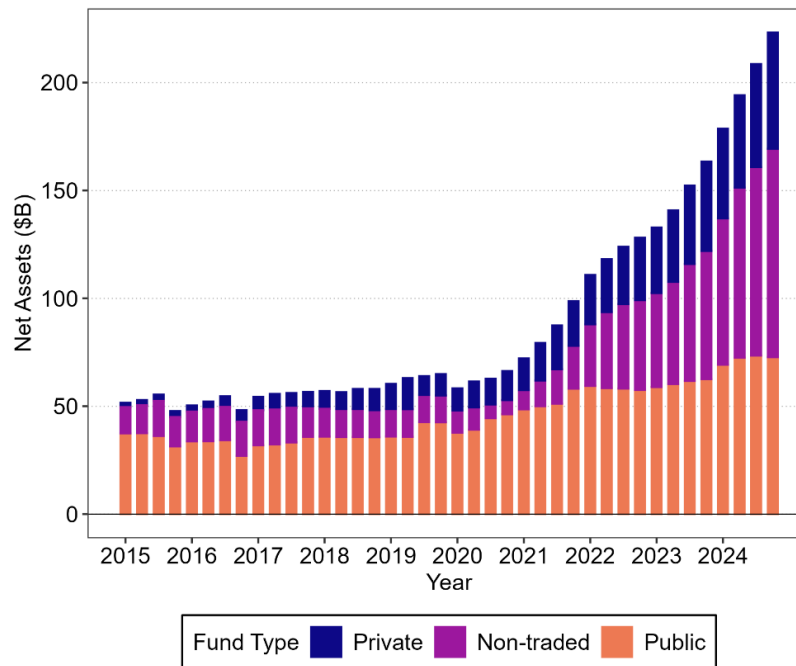


Figure 2: Net Assets in BDCs, 2015-24

<https://www.stblaw.com/about-us/publications/view/2018/10/15/the-evolution-of-co-investment-exemptive-orders-and-why-they-should-become-extinct>.

¹³² SEC Notices Simplified Co-Investment Relief: A Sigh of Some Relief for Regulated Funds and Their Affiliates, *supra* note 129.

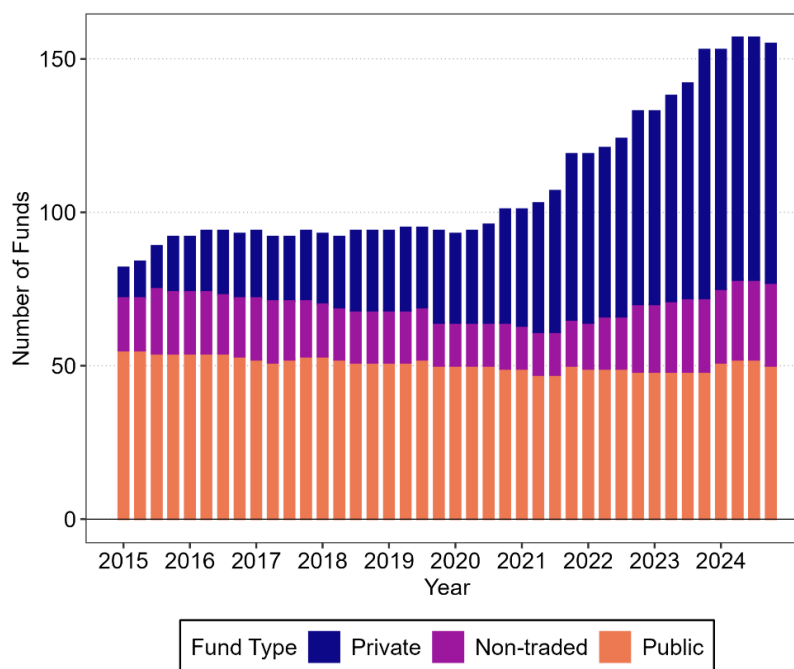


Figure 3: Number of BDCs, 2015-24

Figure 3 shows the number of BDCs in each category over time, and it tells a slightly different story. Non-traded BDCs are actually the least common BDC by number even though they hold the most net assets. This divergence is driven by the fact that the largest BDC (Blackstone Private Credit Fund, or “BCRED”) is a non-traded BDC, and by itself, BCRED had \$38.9B in net assets at the end of 2024. The second largest BDC by net assets in Q4 2024, Blue Owl Credit Income Corp., was also a non-traded BDC, with another \$14.5B in net assets. Private BDCs, on the other hand, have become the most common BDC type by number. Finally, Figure 3 shows that the number of public BDCs has been dwindling over time.

Finally, Table 1 shows some basic information about BDC fees for a subset of BDCs over the past few years.¹³³ The table reveals that BDC fees

¹³³ Fee data were collected from the SEC’s XBRL API, which pulls figures that firms have tagged in their financial statements. BDCs were not required to tag data in their financial statements until 2020, U.S. SEC. & EXCH. COMM’N, SECURITIES OFFERING REFORM FOR CLOSED-END INVESTMENT COMPANIES 2, 14–15, <https://www.sec.gov/files/rules/final/2020/33-10771.pdf>, so data come from quarterly and annual filings after 2020. See Guy Stanzione, *The Impact of SEC Rulemaking on Business Development Companies*, TOPPAN MERRILL (Aug. 21, 2024), <https://www.toppanmerrill.com/blog/sec-rulemaking-impact-bdcs/> for basic information about BDC tagging requirements. Additionally, my data are incomplete because the SEC

are much higher than typical mutual fund fees and are instead more in line with private fund fees.¹³⁴ Each year, on average, investors' fees and expenses eat up 4-5% of net assets. In other words, if a BDC generated a 15% return on its investments before fees, its investors would earn only 10-11% returns.

Item	Mean	Median	25th Pct	75th Pct	n
Management Fee	2.22	2.05	1.04	3.04	446
Performance Fee	1.45	1.37	0.70	2.11	275
Other Expenses	1.18	0.74	0.53	1.20	98
Total Fees and Expenses (%)	4.85	4.16	2.27	6.35	*

Table 1: BDC Fees and Expense as % of NAV¹³⁵

B. Non-traded Closed-end Funds

After BDCs, non-traded closed-end funds have become the next most popular vehicle (by total net assets) for selling private market access to retail investors. As their name suggests, non-traded closed-end funds do not have shares trading on an exchange. The lack of traded shares solves many of the problems associated with traditional closed-end funds.

API's collection of firms' tagged, disaggregated fee information in their quarterly and annual filings seems to be somewhat sporadic and inconsistent.

¹³⁴ In comparison, passively managed, public market funds (like ETFs and mutual funds) charge only 0.52% of investment capital per year on average with no performance fees. *Fund Fees Are Still Declining, But Not as Quickly as They Once Were*, MORNINGSTAR (July 16, 2024), <https://www.morningstar.com/business/insights/blog/funds/us-fund-fee-study> (last updated May 28, 2025). Even actively managed, public market funds charge only about 1% of invested capital. *Id.* The classic private fund fee model is "2-and-20": the sponsor earns two percent of invested capital each year plus twenty percent of profits. Matthew Speiser et al., *Venture Capital Fee Economics*, ANGELLIST, <https://www.angellist.com/learn/management-fees> (last visited July 28, 2025) ("You'll often hear the term 'two and twenty' to describe funds because many charge a 2% management fee and 20% carried interest."); Wei Dai et al., *On Performance Fees*, DIMENSIONAL (Sept. 14, 2020), <https://www.dimensional.com/us-en/insights/on-performance-fees> ("[H]edge funds often employ a 'Two and Twenty' fee structure, which consists of a 2% base management fee charged on AUM and a 20% performance fee charged on outperformance above a certain benchmark.") Additionally, private fund sponsors typically charge a variety of other expenses (e.g., legal fees) to their funds.

¹³⁵ I collected data on quarterly management fees and performance fees directly for each fund with available data and divided these figures by estimates of the fund's average net assets during each quarter. I calculated other expenses by starting with total operating expenses and subtracting off interest expense, management fees, and performance fees. The final row in the table simply sums the prior three rows. All figures are annualized. Each observation is a fund-quarter.

Non-traded closed-end funds come in two common flavors: *tender offer funds* and *interval funds*.¹³⁶ Both tender offer and interval funds function like non-traded BDCs. Their shares are usually registered under the '33 Act so they can be sold publicly to all kinds of investors.¹³⁷ Sponsors in both types of funds periodically offer to buy back a set number of shares at NAV.¹³⁸ The big difference between tender offer and interval funds is that interval funds commit at their inception to repurchase shares on a set schedule while tender offer funds do not.¹³⁹ For example, interval funds are generally required to offer to repurchase at least 5% of shares during each repurchase offer, and they are required to commit ex ante to conducting repurchases on a set interval of “three, six, or twelve months.”¹⁴⁰ Some tender offer funds say in their registration statements that they intend to provide predictable, periodic liquidity through tender offers from the start. Others announce an intent to conduct tender offers after a waiting period that may range from one to several years after the fund launches.¹⁴¹ Still other tender offer funds say that they may provide liquidity through tender offers without announcing any concrete plans.

As a practical matter, the interval structure seems to be used more frequently for credit-focused funds, whereas the tender offer structure seems to be more common for other types of funds, like private equity-like funds and infrastructure funds.¹⁴²

¹³⁶ *What Are Interval and Tender Offer Funds?*, ICAPITAL (May 29, 2022), <https://icapital.com/insights/private-equity/what-are-internal-and-tender-offer-funds/>.

¹³⁷ *Id.*

¹³⁸ *Id.*

¹³⁹ *Id.*

¹⁴⁰ 17 C.F.R. § 270.23c-3(a)(1), (3).

¹⁴¹ *See, e.g.*, First Trust Private Assets Fund, Registration Statement (Form N-2) (Apr. 12, 2022),

https://www.sec.gov/Archives/edgar/data/1912938/000110465922045129/tm2210143d2_n2.htm (see page 49 under “Tender Offers/Offer to Repurchase”) (“The Fund is not expected to conduct any repurchase offer before [June 30, 2023].”); Variant Alternative Lending Fund, Registration Statement (Form N-2) (Sept. 27, 2024), https://www.sec.gov/Archives/edgar/data/0002022674/000121390024082747/ea0215517-01_n2a.htm (see page 36 under “Tender Offers/Offer to Repurchase”) (“The Fund is not expected to conduct any repurchase offer before February 15, 2025.”).

¹⁴² Ewens & Faber, *supra* note 31, at 22 (“[T]ender offer funds operate primarily as fund-of-funds, whereas interval funds tilt toward private credit with direct lending.”); Active Interval Fund, Interval Fund Tracker, <https://intervalfundtracker.com/data/active-interval-funds/> (last visited July 29, 2025) (showing that 66.2% of interval fund net assets are in credit products); *Interval Funds vs. Tender-offer Funds: An Overview for Investment Managers Considering a Launch*, UMB BLOG (June 4, 2025), <https://blog.umb.com/institutional-banking-perspective-tender-offer-and-interval-fund-formation/> (“Practically speaking, managers sometimes hope to offer an interval fund structure but run into a roadblock because the industry still primarily expects interval funds to be valued daily. At least weekly

Like non-traded and private BDCs, non-traded closed-end funds also typically have a minimum investment requirement. The minimum initial investment can range from quite low to prohibitively high for many individual investors depending on the fund type, share class, and target clientele.

Non-traded closed-end funds differ from non-traded BDCs in a few key ways:

- *First*, these funds are not required like BDCs to allocate a large percentage of their assets to direct investments in private companies or small publicly traded companies. In theory, this flexibility makes non-traded closed-end funds a good vehicle to give retail investors indirect access to private funds (e.g., as “funds of funds”). In the past, informal SEC guidance prevented closed-end funds from allocating more than 15% of their net assets to private funds unless they accepted only accredited investors and had at least a \$25,000 minimum investment.¹⁴³ However, the SEC has recently abandoned this practice,¹⁴⁴ so retail-focused, private funds of funds may become an area of growth.
- *Second*, sponsors of these funds are generally allowed to charge performance fees only on dividend and interest income, but not on capital gains.¹⁴⁵
- *Third*, non-traditional closed-end funds are not allowed to take on as much leverage as BDCs. They can only take on \$1 of debt for every \$2 of equity.¹⁴⁶

The '40 Act prohibits closed-end funds from offering multiple share classes, but the SEC “routinely” grants exemptions to tender offer and interval funds “in a timely fashion.”¹⁴⁷ The '40 Act also prohibits closed-end funds, like BDCs, from participating in co-investments with affiliated funds

valuations are required, except during the open repurchase period which must be daily. Some investments, such as private equity, are challenging to value daily.”).

¹⁴³ *SEC Drops 15% Limit in Private Funds for Retail Closed-End Funds*, ROPES & GRAY (May 23, 2025), <https://www.ropesgray.com/en/insights/alerts/2025/05/sec-drops-15-limit-in-private-funds-for-retail-closed-end-funds>.

¹⁴⁴ *Id.*

¹⁴⁵ James Audette et al., *Interval and Tender Offer Closed-end Funds: Investment Company Alternatives to Traditional Funds*, 20 J. INV. COMPLIANCE 21, 30 (2019), https://www.chapman.com/media/publication/947_Chapman_Interval_Tender_Offer_Closed-End_Funds.pdf. See sources cited *supra* note 66 for a further discussion of the rules on performance fees. A few exceptions apply. If the fund accepts only qualified clients, the sponsor can charge performance fees. Audette et al., *supra*. Additionally, a specific kind of performance fee that increases with overperformance and decreases with underperformance called a “fulcrum fee” is allowed, though these are quite rare in practice. *Id.*

¹⁴⁶ Audette et al., *supra* note 145, at 30.

¹⁴⁷ *Id.* at 29.

managed by the same sponsor unless the SEC grants exemptive relief, which it regularly does under Rule 17d-1.¹⁴⁸

A recent paper by Professor Michael Ewens and doctoral student Jacob Faber analyzes the emerging market for non-traded closed end funds that invest in private assets. They show that assets in these funds grew from less than \$25 billion at the end of 2019 to well over \$100 billion by the end of 2024.¹⁴⁹ Over the same period, the number of such funds increased from around 20 to around 100.¹⁵⁰

Ewens and Faber also present data on non-traded closed-end fund fees and expenses. They highlight that these funds' fees are higher than typical mutual fund fees but lower than private fund fees.¹⁵¹ They also appear to be a bit lower than BDC fees, on average.

III. REASONS TO BE WORRIED

If the practical issues that make private markets difficult for retail investors are being solved by creative legal engineering, facilitated by policy changes, it seems natural to embrace the idea of retail investors in private markets. The problem is that there are still several reasons why retail investors might experience poor performance when they participate in private markets. In this Part, I discuss theoretical arguments for why mixing common private market features and practices with new, less sophisticated investors and new fund structures might create new problems that did not previously exist in private markets.

The first reason to be worried is that retail investors might struggle to evaluate the risks inherent in private market investments due to reporting practices common in the industry. Furthermore, when these reporting practices are combined with fund structures that promise retail investors liquidity, retail investors are set up to experience surprising losses or illiquidity during market downturns.

The second reason is that, if retail investors struggle to evaluate the investments they are offered, they are vulnerable to adverse selection. In other words, retail investors might invest in many funds that are inferior to the funds being offered to sophisticated investors. Retail investors might then end up achieving performance that is much worse than we observe among large institutions and wealthy individuals, and potentially much worse than they would experience if they invested only in public markets.

¹⁴⁸ 15 U.S.C. 80a-17(d); 17 C.F.R. § 270.17d-1; *SEC Notices Simplified Co-Investment Relief: A Sigh of Some Relief for Regulated Funds and Their Affiliates*, *supra* note 129.

¹⁴⁹ Ewens & Faber, *supra* note 31, at 45.

¹⁵⁰ *Id.*

¹⁵¹ *Id.* at 12.

A. Private Market Valuation Practices Hide Investment Risk

1. Private Market Valuations and Volatility

In asset management, investments are commonly evaluated in terms of their risk and returns, where return volatility is commonly used as one measure of risk.¹⁵² If an investment's returns are consistent from quarter to quarter, then it is generally considered less risky than if its returns vary widely. Among other things, an investment with low volatility has a smaller chance of suffering large losses. All else equal, investors tend to prefer investments with high returns and low risk.¹⁵³

Finance researchers and industry commentators alike have noted that the reported returns of private funds often seem unusually “smooth” relative to public market investments.¹⁵⁴ In other words, they vary less from quarter to quarter than the returns of public market investment portfolios with similar average returns. One financial professional has coined the term “volatility laundering” to refer to this phenomenon.¹⁵⁵

The typical explanations for the low volatility of private fund returns all relate to the fact that private funds invest in assets that do not trade in public markets. Because private assets trade rarely, if at all, fund managers have to value them using financial models in order to estimate fund performance. These valuations can be sticky and slow to change, leading to low volatility in reported returns.¹⁵⁶

¹⁵² Ivo Welch, *Chapter 8: Investor Choice: Risk and Reward*, in *CORPORATE FINANCE* 1, 4 (5th ed. 2022) (available online at <https://corpfin.ivo-welch.info/read/source5.mba/08-invchoice.pdf>) (“The standard deviation of the portfolio’s rate of return is the most common measure of overall portfolio risk.”).

¹⁵³ Instead of considering the risk and return of each investment separately, a modern, sophisticated approach to portfolio management would consider each investment’s contribution to the total risk-adjusted return of a hypothetical investor’s entire portfolio. Such an approach would focus more on metrics like an investment’s “alpha,” or the excess returns the investment generates after accounting for the investment’s exposure to a set of risk factors. For a straightforward introduction to this way of thinking using a one-factor “market model,” see Welch, *supra* note 152, at 11–18. In this paper, I mostly focus on simpler measures of risk and returns (like Sharpe Ratios—see Section IV.A for more details) because I think they are easier to understand and capture more intuitively how a retail investor might actually evaluate an investment. For example, popular investment fund screening tools like Morningstar prominently feature risk-return charts. However, I could make very similar arguments using more advanced metrics.

¹⁵⁴ See sources cited *supra* note 20.

¹⁵⁵ Cliff Asness, *Why Does Private Equity Get to Play Make-Believe With Prices?*, *supra* note 20; see also sources cited *supra* note 20.

¹⁵⁶ See Spencer J. Coutts, Andrei S. Goncalves & Andrea Rossi, *Unsmoothing Returns of Illiquid Funds*, 37 REV. FIN. STUD. 2110, (2024) (discussing the problem of artificially

The problem with artificially smooth returns is that they can make private funds appear less risky than they really are. Low variation in returns makes the chance of a large loss seem remote. Additionally, smooth returns are less correlated with public markets, making it look like private funds provide excellent diversification benefits. These apparent benefits make it easy for people who do not understand the limitations of private fund valuations to be overly optimistic about the funds' performance.

The truth is that the smooth reported returns of private funds cloud the fact that private market performance is related to public market conditions. For example, private equity funds need to sell their portfolio companies to return cash to investors. When public markets are turbulent and valuations are low, private equity funds are either unable to exit their investments or have to sell out at a loss. Even if reported valuations are still high, investors are impacted: they have to either wait longer for a return of capital or accept lower returns than anticipated. Similarly, falling loan prices (and increasing credit spreads) in public markets can reflect market participants' perception that borrowers are becoming less likely to repay their loans. This type of signal probably means that private credit borrowers are also becoming more likely to default. Even if private credit loan valuations do not fall, their investors still face a higher probability of taking losses.

Despite the way they understate risk, overly smooth private market valuations may not be a serious policy issue in traditional private funds.¹⁵⁷ After all, institutional investors and well-advised, high-net-worth individuals who have experience investing in private markets understand the limitations of private market valuations and can appreciate the risks they obscure. Furthermore, because private funds do not provide liquidity during their limited lives, interim valuations are in some ways irrelevant. Investors' capital is already committed, and they will get whatever returns the fund delivers when it winds up. In the meantime, there is little for them to do but wait.¹⁵⁸

smooth returns in illiquid asset classes like commercial real estate and presenting a method to unsmooth returns that are autocorrelated).

¹⁵⁷ In fact, some people argue that the low reported volatility in private funds is good thing. See Schelling, *supra* note 20; but see Jackson, Ling & Naranjo, *supra* note 28.

¹⁵⁸ One exception is when the fund manager is trying to raise money for a subsequent fund while the first fund is still invested. In that case, investors might look to interim performance to gauge the manager's skill. But again, sophisticated investors who have qualified advisers should be able to appreciate the limitations of interim figures and still make reasonable decisions. Greg W. Brown, Oleg R. Gredil & Steven N. Kaplan, *Do private equity funds manipulate reported returns?*, 132 J. FIN. ECON. 267, 267 ("We find that some underperforming managers inflate reported returns during fundraising. However, those managers are less likely to raise a next fund, suggesting that investors can see through the manipulation.").

2. Potential Problems in Retail Private Funds

In retail private funds, the situation is very different. If these funds report overly smooth performance figures, then they create a serious policy problem for at least three distinct reasons.

The first is that it might lead retail investors to invest too much in retail private funds. When fund managers report very low volatilities for their funds, their risk-adjusted performance looks better relative to other investments, and investors may allocate more money to them.¹⁵⁹ This may be especially true for retail investors, who do not have deep institutional knowledge and are likely to be purchasing retail private fund shares from financial professionals who are paid, not only to give them advice, but also to sell them those shares. As the hedge fund manager Cliff Asness has pointed out, if people pile into private market investments, “future expected returns” in the asset class as a whole will go down.¹⁶⁰ Additionally, on an individual level, investors might invest too much of their wealth into retail private funds relative to their personal risk appetites. An investor who cannot tolerate losing a significant amount of money might put money into a private investment product that looks safe, only to find during a period of stress that the investment is anything but.

The second reason that underreported volatility might be bad for retail investors is that retail private fund management fees are typically calculated as a percentage of NAV. If a fund does not mark its NAV down during a market downturn, then retail investors will pay higher fees than they should throughout the down period.

The third reason underreported volatility is troubling is that it creates special issues in funds—like non-traded and private BDCs—that allow investors to withdraw their money periodically at NAV. These issues become acute during a downturn when a fund cannot sell assets at their reported valuations.¹⁶¹ If market values are low and investors start asking for their money back, the fund has three options, none of which are pleasant for investors. One option is for the fund to sell assets to honor the redemption requests. If the fund does this, it will book losses on its investments, NAV

¹⁵⁹ Charlie Munger—Warren Buffet’s longtime business partner—once apparently remarked that, “all [PE managers are] doing is lying a little bit to make the money come in.” *Warren Buffet on Private Equity*, CASTLE HALL (May 13, 2019), <https://www.castlehalldiligence.com/blog/warren-buffet-on-pe>. To this, Buffet reportedly replied, “Yeah. Yeah, well that sums it up.” *Id.*

¹⁶⁰ Asness, *The Illiquidity Discount*, *supra* note 20; Asness, *Why Does Private Equity Get to Play Make-Believe With Prices?*, *supra* note 20.

¹⁶¹ Asness, *Why Does Private Equity Get to Play Make-Believe With Prices?*, *supra* note 20 (commenting on how some risks only become pressing issues during a prolonged downturn).

will fall, and investors will learn to their dismay that their investments were not worth what they thought. Additionally, if the fund does not mark down the value of its unsold assets, then investors who withdraw early will get more than their fair share of the fund's value, and investors who stick around will be left with less.¹⁶²

Honoring redemption requests can create problems for investors even if the fund initially has some assets that are low risk and can be sold without taking losses during a downturn. If a fund sells all of its safe assets to cash out some investors, then the investors who stay are left with progressively riskier and riskier assets.¹⁶³ These investors might have been comfortable with the fund's risk profile when they invested, but they might not be happy to find themselves invested in only the fund's riskiest assets.

A second option is for the fund to block withdrawals during the downturn. As discussed in the Introduction, this option was used by CION during the COVID-19 pandemic. Shutting down withdrawals saves the fund from having to sell assets below their reported valuations. But investors who put money in expecting liquidity might be surprised to learn that they have to wait for months to get their money back.

A third option, also used by CION, is to list the fund's shares on an exchange so investors can sell their shares in the public market. But when a fund lists its shares, its share price is not smoothed like its NAV, so investors are exposed to the full swings of the public market. Investors may be surprised to learn that these price swings are much more volatile than past changes to the fund's NAV.

These issues are not just hypothetical. They have already played out in the real estate investment fund sector, which has many of the same risks as the retail private fund space. Like private investments, large real estate

¹⁶² See Ewens & Faber, *supra* note 31, at 36 (“[T]ransacting on stale prices can transfer wealth between exiting and remaining shareholders....”); Phalippou & Magnuson, *supra* note 33, at 24 (making the same argument); Matt Levine, *Private Credit Marks Will Matter*, BLOOMBERG (Jan. 26, 2026), <https://www.bloomberg.com/opinion/newsletters/2026-01-26/private-credit-marks-will-matter> (discussing how semiliquid private credit funds are vulnerable to “bank run dynamic[s]”).

¹⁶³ *Morningstar's Guide to Interval Funds: Strengths, Weaknesses, and Uses*, MORNINGSTAR (June 2024), https://marketing.morningstar.com/content/cs-assets/v3/assets/blt9415ea4cc4157833/blt3af71969abcb8268/671957947766495f7d51ab8e/Morningstar_s_Guide_to_Interval_Funds_2024.pdf (“Morningstar's fixed-income manager research analysts routinely monitor Level 3 assets in the funds they cover, as it is one of the best proxies for illiquidity in publicly disclosed materials. This is especially true for funds that are experiencing heavy withdrawals, as those outflows can lead to Level 3 assets taking up a larger and larger percentage of a portfolio as fund managers sell more liquid holdings to meet redemptions. This ‘junking up’ can put a fund in a precarious position, especially if exacerbated by leverage, perhaps ultimately forcing its liquidation if outflows do not abate.” (footnote omitted)).

properties do not trade often and are hard to value. Some investment managers have created funds that allow retail investors to invest in commercial real estate and that permit periodic withdrawals, just like retail private funds. Within the past few years, two of the largest of these retail, real estate funds—Blackstone Real Estate Income Trust (BREIT) and Starwood Real Estate Income Trust (SREIT)—have faced major issues and received negative press coverage.¹⁶⁴ Both funds received a flood of redemption requests that they could not meet without selling assets at a loss into a depressed commercial real estate market. Ultimately, both funds opted to heavily limit redemptions, frustrating investors and prompting negative press coverage.¹⁶⁵

3. Does SEC Reporting Solve the Problem?

Another important difference between traditional private funds and retail private funds is that retail funds are heavily regulated by the SEC and are required to make periodic, public reports. These reports include Schedules of Investments that list information about each investment held by the fund, including the investment’s “fair value,” which is the price at which the investment could reasonably be sold on the open market.¹⁶⁶ In theory, these detailed reporting requirements could discipline retail private fund valuations in a way that prevents their returns from being smoothed like the returns of their traditional private fund cousins. I take up this empirical question in Part IV, and I provide evidence that substantial return smoothing appears to exist in retail private funds in spite of the SEC’s reporting requirements.

¹⁶⁴ Miriam Gottfried, Peter Grant & Rebecca Feng, *Blackstone’s Big New Idea Leaves It Bruised*, WALL ST. J. (Feb. 12, 2023), <https://www.wsj.com/articles/blackstones-big-new-idea-leaves-it-bruised-d66de361> (discussing BREIT’s issues); Peter Grant, *A \$10 Billion Real-Estate Fund Is Bleeding Cash and Running Out of Options*, WALL ST. J. (May 20, 2024), <https://www.wsj.com/real-estate/commercial/starwood-capital-group-real-estate-fund-cash-crunch-409f56d5> (discussing SREIT’s issues).

¹⁶⁵ Peter Grant, *Withdrawal Requests at Starwood Property Fund Are at \$850 Million*, WALL ST. J. (June 10, 2025), <https://www.wsj.com/real-estate/commercial/withdrawal-requests-at-starwood-property-fund-are-at-850-million-0883e510> (“Rather than sell some of the fund’s commercial property into a poor market to meet those requests, Starwood Chief Executive Barry Sternlicht decided to impose strict limits on the amount of money investors could withdraw.”); Gottfried, Grant & Feng, *supra* note 194 (quoting a money manager who said that BREIT’s decision to block redemptions was “‘not very nice’ for investors who are still in the fund”).

¹⁶⁶ The Financial Accounting Standards Board (FASB) defines “fair value” as “[t]he price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date.” 820 *Fair Value Measurement*, FIN. ACCT. STANDARDS BD.: ACCT. STANDARDS CODIFICATION, <https://asc.fasb.org/820/showallinonepage> (last visited July 29, 2025).

B. Retail Investors Are Vulnerable to Adverse Selection

Because private market risks are opaque and unfamiliar to retail investors, retail investors are at risk of ending up owning low-quality private market investment products. The concern is that retail investors will have a hard time distinguishing between high- and low-quality funds, so some low-quality fund managers will find it worthwhile to target retail investors to earn unjustifiably high fees. Retail investors might have an especially hard time screening out low-quality funds if they are able to smooth their returns as I discussed in the previous Section. In the end, retail investors might then earn substantially lower returns, on average, than wealthier or more sophisticated investors on their private market investments.

1. Managers' Incentives to Sell Worse Products to Retail

Consider a simplified version of the private credit market as an illustration. Suppose a fund manager launching a private credit fund has to choose one of three structures: (1) a 3(c)(7) private fund, (2) a private BDC, or (3) a non-traded BDC. Each structure has pros and cons and will be more cost effective for different types of sponsors. For example, a high-quality sponsor who already has a track record and relationships with many institutional investors and financial advisers who serve ultra-high-net-worth individuals might prefer a 3(c)(7) fund for its flexibility and low regulatory costs. On the other hand, a similarly high-quality sponsor with a shorter track record or fewer relationships might instead prefer a non-traded BDC. This second sponsor might find it more cost effective to pay the extra regulatory costs to allow commission-earning brokers to sell the fund directly to retail investors rather than trying to cold call institutional investors. (The private BDC, of course, would provide an intermediate option.)

The problem with this setup is that low-quality sponsors are likely to be disproportionately attracted to the more retail-friendly options. These sponsors would find it difficult, if not impossible, to sell to institutions and sophisticated (or well-advised) individuals, but they might be able to win investments from less discerning retail investors. These sponsors have a big incentive to launch retail funds that look like high-quality private credit funds because, as discussed in Part II, private funds and their retail counterparts can charge much higher management fees than typical public market investment funds.¹⁶⁷ Brokers also have an incentive to sell even low-quality fund shares

¹⁶⁷ See *supra* Section II.A.

because their commissions depend on how many shares they sell but not on investors' ultimate returns.¹⁶⁸

Now consider the incentives of a fund manager who manages multiple funds that employ the same private credit strategy, one that is open only to institutions and wealthy individuals and another that is also open to retail investors. Every time the manager comes across a new investment opportunity, the fund manager has a choice to make about how much of the investment opportunity to allocate to the retail fund and how much to allocate to the institutional fund. If retail investors have a harder time evaluating fund performance *ex post*, the manager has a strong incentive to allocate more of the good investments to the institutional fund—where the investors will notice the good performance and reward the manager with future business—and more of the mediocre investments to the retail fund—where the investors may not notice the difference.

Altogether, these incentives have the potential to create a powerful sorting dynamic, where institutions and wealthier individuals get access to a steady supply of high-quality investment opportunities while retail investors see a mix. If low-quality investments are indeed hiding among higher quality investments in retail distribution channels, then we should expect retail investors to earn lower returns, on average, than wealthier individuals and institutions when they invest in private credit investments, even if those investments look similar on paper.

Note that the situation I just described is very different from the situation in public markets, with which retail investors are much more familiar. In public markets, retail investors can rely on indirect protection created by the self-interested actions of more sophisticated players to make sure investments are priced efficiently and returns, even for passive investors, are competitive.¹⁶⁹

Concerns about adverse selection seem especially salient in the current environment. The financial press has been reporting that private funds are struggling to exit investments and institutional investors are pulling out of private funds, in part due to concerns about poor performance.¹⁷⁰ Some commentators have warned that funds targeting retail investors could become

¹⁶⁸ A long-standing critique of traditional closed-end funds is that they are “sold, not bought,” Diana Shao & Jay Ritter, *Closed-End Fund IPOs: Sold, Not Bought*, 7 CRITICAL FIN. REV. 201 (2018), and that could also prove true for non-traded retail private funds.

¹⁶⁹ See generally Holger Spamann, *Indirect Investor Protection: The Investment Ecosystem and Its Legal Underpinnings*, 14 J. LEGAL ANALYSIS 17 (2022); see also Frank H. Easterbrook & Daniel R. Fischel, *Mandatory Disclosure and the Protection of Investors*, 70 VA. L. REV. 669, 694 (1984) (“The uninformed traders can take a free ride on the information impounded by the market: they get the same price received by the professional traders without having to do any of the work of learning information.”).

¹⁷⁰ See *supra* notes 22–24 and accompanying text.

a place for private fund sponsors to offload investments they have been stuck with at inflated prices in order to generate returns for more sophisticated investors.¹⁷¹

2. Countervailing Incentives: Reputational and Legal Costs

Several considerations cut against sponsors' incentives to sell worse investments to retail investors, however, and it is an open empirical question as to which set of considerations dominates.

First, if fund managers and financial intermediaries sell too many low-quality products to retail investors, retail investors' underperformance will eventually become obvious and the managers and intermediaries will suffer a blow to their reputations. If their reputations are sufficiently tarnished, retail investors may become so wary of their products that these professionals lose the ability to sell even high-quality investments to retail customers.

Second, fund managers and intermediaries are subject to legal standards meant to stop them from taking advantage of their clients. Sponsors and personal financial advisers have fiduciary duties under the Advisers Act that require them to act in their clients' best interests and appropriately manage conflicts of interest.¹⁷² For sponsors, these fiduciary duties run to the funds they manage, and for financial advisers, these duties run to their individual clients. Sponsors who operate multiple funds, including both retail and private funds, also often operate under exemptive orders from the SEC that require them to allocate investment opportunities across their funds in ways that are "fair and equitable" to the retail funds.¹⁷³ Since 2020, brokers' standard of conduct has been set by Regulation Best Interest (Reg BI), and though the standard is not identical to investment advisers' fiduciary duties,

¹⁷¹ See Matt Wirz, *Moody's Sounds Alarm on Private Funds for Individuals*, WALL ST. J. (June 10, 2025) <https://www.wsj.com/finance/investing/moodys-sounds-alarm-on-private-funds-for-individuals-8cd268c5> ("Some of the investments 'funneled' into retail funds may be leftover investments from funds previously sold to institutional investors who wanted to get out.").

¹⁷² U.S. Sec. & Exch. Comm'n., Commission Interpretation Regarding Standard of Conduct for Investment Advisers, Release No. IA-5248, at 2, <https://www.sec.gov/files/rules/interp/2019/ia-5248.pdf> (citing SEC v. Cap. Gains Rsch. Bureau, Inc., 375 U.S. 180, 194 (1963)).

¹⁷³ Blackstone Private Credit Fund, Application for an Order Pursuant to Sections 17(d) And 57(i) of the Investment Company Act of 1940 and Rule 17d-1 Under the Investment Company Act of 1940 Permitting Certain Joint Transactions Otherwise Prohibited by Sections 17(d) and 57(a)(4) of and Rule 17d-1 Under the Investment Company Act of 1940 (Mar. 14, 2025), <https://www.sec.gov/Archives/edgar/data/1803498/000119312525054849/d940322d40app.htm>. See *supra* notes 129–32 and accompanying text for an overview of the co-investment rules for BDCs and non-traded closed-end funds.

it still requires brokers to act in the best interests of their customers.¹⁷⁴ These legal duties place some limits on how far sponsors and intermediaries can go to sell inferior products to retail customers, especially if they know the products are clearly inferior to or riskier than other comparable options.

Still, it is far from clear that we can expect these legal duties to eliminate adverse selection. Even if advisers and brokers violate their legal duties, proving a violation is likely to be very difficult *ex post*.¹⁷⁵ Investment advisers' fiduciary duties, for example, leave considerable room for them to decide how to handle conflicts of interest in allocating investment opportunities across multiple clients. For example, the SEC has explicitly stated that "an adviser need not have *pro rata* allocation policies, or any particular method of allocation," as long as conflicts and information about allocation policies are adequately disclosed.¹⁷⁶

For sponsors who manage retail funds alongside private funds with similar strategies, the affiliated transaction rules in the '40 Act add another layer of complication that may or may not prevent unfavorable allocations to retail funds. Sponsors in this category who have not received a Rule 17d-1 exemptive order have to allocate different investments to different funds because their retail funds are generally prohibited from investing alongside their private funds.¹⁷⁷ It is not obvious whether their fiduciary duties provide sufficient incentives to allocate investments fairly.

Sponsors operating with exemptive orders are generally required to adopt stricter allocation procedures, but it is not clear whether these procedures are adequate to stop less favorable allocations. For example, under many older exemptive orders, sponsors were required to "independently consider each opportunity" that fell within a retail fund's "investment criteria" and justify (and keep records of) each decision to offer or not offer each investment to the fund.¹⁷⁸ These orders seem reasonably likely to have ensured fair access

¹⁷⁴ U.S. Sec. & Exch. Comm'n., Regulation Best Interest: The Broker-Dealer Standard of Conduct 17, <https://www.sec.gov/files/rules/final/2019/34-86031.pdf>; *see also* *Regulation Best Interest (Reg BI)*, CORNELL L. SCH.: LEGAL INFO. INST. (Dec. 2024), https://www.law.cornell.edu/wex/regulation_best_interest_%28reg_bi%29 (characterizing Reg BI as imposing a lower standard of care than a fiduciary duty). Before 2020, brokers were subject to a lower "suitability" standard. *See* U.S. Sec. & Exch. Comm'n, *supra*, at 5.

¹⁷⁵ *See infra* Section V.B for a more complete discussion.

¹⁷⁶ U.S. Sec. & Exch. Comm'n, *supra* note 172, at 26.

¹⁷⁷ *See supra* notes 129–32 and accompanying text.

¹⁷⁸ *SEC Notices Simplified Co-Investment Relief: A Sigh of Some Relief for Regulated Funds and Their Affiliates*, *supra* note 129; *see, e.g.*, Blackstone Private Credit Fund, Amended and Restated Application for an Order Pursuant to Sections 17(d) and 57(i) of the Investment Company Act of 1940, and Rule 17d-1 Under the 1940 Act Permitting Certain Joint Transactions Otherwise Prohibited by Sections 17(d) And 57(a)(4) of the 1940 Act 29–32 (Feb. 22, 2021),

to good investment opportunities for retail funds. However, they did not prevent retail fund boards from disproportionately approving poor investment opportunities that affiliated private funds rejected, which could have given retail funds an overall less attractive investment mix. These orders were likely also too burdensome and costly to be attractive to some sponsors. On the other hand, more recent orders tend to be more flexible and principles based.¹⁷⁹ This flexibility may make them more attractive to sponsors, increasing the level of sponsor adoption and increasing the pool of attractive investments available to retail funds. However, their flexibility may also make them more difficult to enforce, leading to worse allocations. Overall, their effect is ambiguous.

As with underreported volatility, it is an open question whether current legal rules and enforcement mechanisms are sufficient to prevent retail investors from consistently getting poor products. I provide some suggestive empirical evidence that the current rules are not sufficient in Part IV below.

3. Existing Evidence of Sorting

Three recent finance papers provide nuanced evidence that is generally consistent with the theory that less wealthy and less sophisticated investors get worse investments when they venture into private markets. A recent working paper by Professors Cynthia Balloch, Federico Mainardi, Sangmin Oh, and Petra Vokata studies private equity investments made by high-net-worth individuals. They find that the wealthiest investors in their sample perform much better than the least wealthy investors, with the least wealthy investors (<\$3 million net worth) performing in line with public markets net of fees and the wealthiest investors (>\$100 million net worth) performing much better.¹⁸⁰ The authors attribute this gap to the fact that the wealthiest investors and the least wealthy investors access private equity through

https://www.sec.gov/Archives/edgar/data/1803498/000119312521050790/d139164d40app_a.htm.

¹⁷⁹ *SEC Notices Simplified Co-Investment Relief: A Sigh of Some Relief for Regulated Funds and Their Affiliates*, *supra* note 129; see also Blackstone Private Credit Fund, Annual Report (Form 10-K) (Mar. 14, 2025), <https://www.sec.gov/Archives/edgar/data/1803498/000180349825000021/bcred-20241231.htm> (disclosing on pages 95–96 more than twenty factors Blackstone allows itself to consider in allocating investment opportunities, ranging from “(i) the risk-return and target return profile of the proposed investment relative to the Company’s and the Other Clients’ current risk profiles” to “(xxiii) whether Blackstone Credit & Insurance believes that allocating investment opportunities to an investor will help establish, recognize, strengthen and/or cultivate relationships that may provide indirectly longer-term benefits”).

¹⁸⁰ Balloch et al., *supra* note 30, at 2.

different financial advisors.¹⁸¹ Their findings are consistent with less wealthy investors facing adverse selection, though their sample does not include true retail investors, so it is not clear that their results would generalize to a retail setting. Also, the authors' finding that individuals' private equity investments do not generally underperform public markets, even net of fees, could suggest that adverse selection might not be a serious issue.¹⁸²

A second working paper, written by Professor Michael Ewens and PhD student Jacob Faber, studies non-traded closed-end funds that provide both mass affluent and true retail investors with access to private market investments.¹⁸³ Ewens and Faber find that retail funds tend to significantly underperform traditional private fund benchmarks ("by approximately 130 basis points per quarter on average") and that this difference is not entirely explained by fees, cash drag, and imperfect exposure to private markets.¹⁸⁴ They also find that funds open only to accredited investors or qualified clients generally perform better than funds open to retail customers.¹⁸⁵ These findings are both consistent with some amount of adverse selection.

However, Ewens and Faber also find that non-traded closed-end funds that invest in private funds get access to funds that do not perform worse than other private funds.¹⁸⁶ At first blush, this finding seems to counter the theory that individuals are subject to adverse selection. However, it should be interpreted with a few caveats. First, during their entire sample period, the SEC maintained its informal position that non-traded closed-end funds could not invest more than 15% of their net assets in private funds unless they only admitted accredited investors and maintained a \$25,000 minimum investment, so the finding may only apply to funds open to "mass affluent" investors rather than true retail. Second, this selection result is based only on data from private equity funds of funds, so it might not generalize to retail private funds like BDCs that make direct investments.

Finally, a third working paper by Professors Stefano Pegoraro, Sophie Shive, and Rafael Zambrana also documents underperformance among interval funds that appear to be geared toward less wealthy investors.¹⁸⁷ They show that, among interval funds with a single share class, funds with higher minimum investments perform better relative to appropriate benchmarks than

¹⁸¹ *Id.* at 3. *Cf.* Onur Sefiloglu, In Pursuit of Information: Investment Consultants and Private Equity Fund Selection 4 (July 25, 2025) (unpublished manuscript) (finding that public pension funds pick better private equity investments when they use outside, expert private equity consultants than when they invest on their own).

¹⁸² Balloch et al., *supra* note 30, at 2.

¹⁸³ Ewens & Faber, *supra* note 31, at 2.

¹⁸⁴ *Id.* at 14, 18–19.

¹⁸⁵ *Id.* at 14.

¹⁸⁶ *Id.* at 30.

¹⁸⁷ Pegoraro, Shive & Zambrana, *supra* note 31, at 21–22.

funds with lower minimum investments.¹⁸⁸ Similarly, they find that interval funds that have an institutional share class perform better relative to their benchmarks than other interval funds that do not.¹⁸⁹

IV. EVALUATING THE RISKS

In this Part, I analyze data on the reported performance of retail private funds structured as BDCs. My analysis explores the two areas of concern for retail investors outlined in the previous Part. First, I examine whether the funds' reported performance is less volatile than one would expect given the characteristics of their underlying investments. Second, I assess evidence on whether worse-performing products are being sold to less sophisticated investors.

I focus on funds structured as BDCs because BDCs are the most popular investment type by net assets and because different types of BDCs generally hold comparable investments due to the statutory requirement that they predominantly hold direct investments in small to mid-sized companies. I was able to collect a high-quality, quarterly dataset for the universe of BDCs covering at least the past 10 years. Additionally, because my analysis focuses on BDCs, it complements the concurrent work being done on non-traded close-end funds by Ewens and Faber and Pegoraro, Shive, and Zambrana.¹⁹⁰

The upshot of my analysis is that the evidence supports—or, at very least, does nothing to undermine—both of the concerns for retail investors that I laid out in Part III. First, the raw data show that, over the past ten years, BDCs' risk-adjusted, reported (NAV-based) returns have been exceptional. However, their risk-adjusted, reported returns are so good because their volatility is very low. The volatility is so low, in fact, that it is difficult to justify based on the volatilities of similar publicly traded investments.

I highlight the implausibility of BDCs' reported returns using two lines of evidence. First, I focus on public BDCs, which have exchange-traded shares, and I show that the volatility of these BDCs' trading returns is more than four times higher than the volatility of their reported (NAV-based) returns. Second, I use indexes of publicly traded leveraged loans with varying risk levels to construct "synthetic BDCs" based on public market data. I start with the leveraged loan indexes and then add leverage and fees to create an appropriate benchmark for each BDC type. The synthetic benchmarks I construct have a wide range of volatilities depending on their assumed credit risks, but they are all higher than the actual BDCs' NAV-based return volatilities.

¹⁸⁸ *Id.*

¹⁸⁹ *Id.*

¹⁹⁰ See *supra* notes 183–89 and accompanying text.

Second, I find suggestive evidence that BDCs sold to different investor classes perform differently. I focus on comparing private BDCs, which are sold only to accredited investors, with non-traded BDCs, which can be sold more broadly. I find that private BDCs' reported returns have been, on average, about 60 basis points per quarter higher than non-traded BDCs, even after controlling for fund size, leverage, and investment mix. I find that this difference in performance has been driven in large part by differences in their investment returns rather than by differences in fees and expenses. Public BDCs, in contrast, have earned higher gross returns than non-traded BDCs, but they have also had higher expense ratios, so in the end, they have not outperformed non-traded BDCs.¹⁹¹

This finding raises the possibility that, among BDCs that are sold to investors through intermediaries rather than by being listed on an exchange, the higher performing products are being sold to wealthier investors while the worse performing products are being offered to less wealthy and sophisticated investors.

A. Evidence that Volatility is Underreported

Based on their dividends and reported NAVs, BDCs have performed very well over the past ten years. Figures 4 and 5 below summarize BDCs' reported risk and returns (net of fees) relative to several publicly traded benchmarks. I use leveraged loans as the primary benchmark because they are publicly traded but otherwise have similar characteristics to BDCs' private credit-style loans. Leveraged loans, like private credit loans, are senior secured, high-yield, floating-rate loans. Retail investors can also invest in leveraged loans through low-fee ETFs that offer daily liquidity.¹⁹² The leveraged loan returns in Figures 4 and 5 are from the Morningstar LSTA US Leveraged Loan index.

Figure 4 shows the average, cumulative, NAV-based performance of all BDCs from 2015 to 2024.¹⁹³ It also shows the cumulative performance of the

¹⁹¹ The differences between non-traded and public BDCs likely reflect differences in leverage.

¹⁹² The Invesco Senior Loan ETF (BKLN) is one example. It has a 0.67% expense ratio and tracks the Morningstar LSTA US Leveraged Loan 100 Index. See <https://www.invesco.com/us/en/financial-products/etfs/invesco-senior-loan-etf.html> for more details about the product.

¹⁹³ In this case, "average" is a weighted average, weighted by the average invested net assets of each BDC during each quarter. I estimate net-of-fees returns by dividing each fund's net increase in net assets (as reported on Forms 10-Q and 10-K) by an estimate of the fund's average invested capital during the quarter. Net increase in net assets is net investment income (which is typically paid out as a dividend for tax reasons) plus realized and unrealized capital gains. See *What is a BDC*, *supra* note 102 (explaining that "[m]ost BDCs elect to be

Morningstar LSTA US Leveraged Loan index over the same period. Figure 5 summarizes this performance information in a way that more clearly highlights the relationship between risk and returns. The Y-axis in the figure measures each index's (annualized) average return in excess of a risk-free interest rate.¹⁹⁴ The X-axis is a measure of risk, estimated as the (annualized) standard deviation of the index's quarterly returns.¹⁹⁵ The relationship between these two variables is commonly known as an investment's Sharpe Ratio, which is a measure of risk-adjusted returns.¹⁹⁶ In addition to BDCs and leveraged loans, Figure 5 also includes the US public stock market as a comparison.¹⁹⁷

Three observations stand out from these figures. First, BDCs generated significantly higher returns than leveraged loans over this ten-year period. Second, BDCs generated these clearly superior returns with slightly lower volatility. BDCs' lower volatility is easiest to see in Figure 4 in periods where leveraged loans posted negative returns, such as in parts of 2015, 2018, 2020, and 2022. During these periods when leveraged loan prices fell, BDCs reported less significant losses. Third, the ratio of returns to risk, or Sharpe Ratio, for leveraged loans was similar to the Sharpe Ratio for the stock market, but BDCs' NAV-based Sharpe Ratio was significantly higher.¹⁹⁸

treated as a regulated investment company (RIC)," which requires them to "distribute at least 90% of taxable income to shareholders"). I estimate average invested capital by averaging two figures: (1) starting net assets (from the end of the previous quarter) and (2) ending net assets minus capital gains (or losses). This approximation essentially assumes that fund flows (changes in total NAV not due to capital gains or losses, i.e., money invested or withdrawn by investors) are uniform throughout each quarter. If fund inflows in a given quarter occur primarily toward the end of the quarter, then my approximation exaggerates average invested capital and underestimates the absolute value of the quarterly return. (In other words, I will estimate positive returns to be lower and negative returns to be higher than they truly are.) If the fund inflows instead occurred primarily toward the beginning of the quarter, then my estimate underestimates invested capital and inflates the absolute value of the quarterly return. The reverse is true in quarters with net outflows.

¹⁹⁴ I use the risk-free rate posted on Professor Ken French's website: https://mba.tuck.dartmouth.edu/pages/faculty/ken.french/data_library.html. The rate is the "one-month Treasury bill rate." *Description of Fama/French Factors*, https://mba.tuck.dartmouth.edu/pages/faculty/ken.french/Data_Library/f-f_factors.html (last visited February 16, 2026).

¹⁹⁵ I annualize returns by multiplying by 4. I annualize standard deviation by multiplying by $\sqrt{4}$.

¹⁹⁶ *Sharpe Ratio*, Morningstar (2026), <https://www.morningstar.com/investing-terms/sharpe-ratio>.

¹⁹⁷ I use the market cap-weighted index from CRSP to capture the overall risk-return profile of the public stock market.

¹⁹⁸ When the Sharpe Ratio of an investment is higher than the public stock market's, then investors who prefer higher Sharpe Ratios and currently invest in the public stock market would be better off putting some money into the new investment. However, if the Sharpe Ratio an investment is lower than the public stock market, it is not automatically true that no

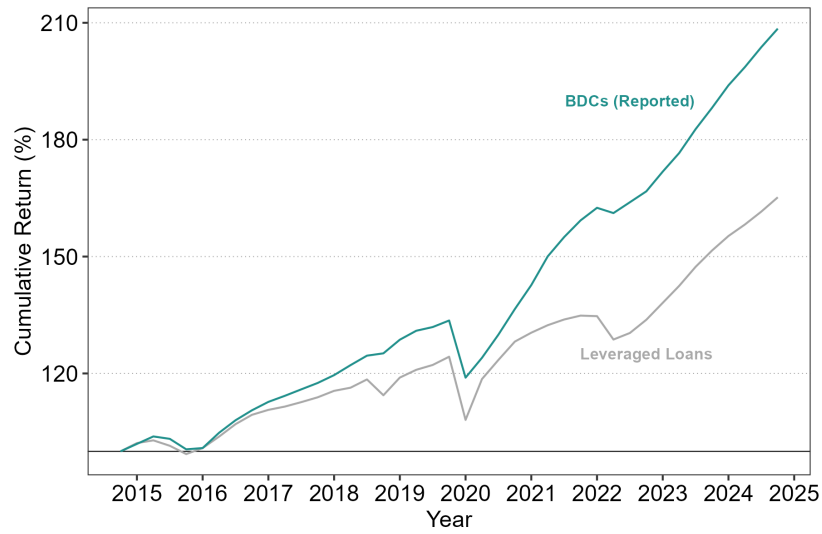


Figure 4: Reported (NAV-Based) Performance of BDCs

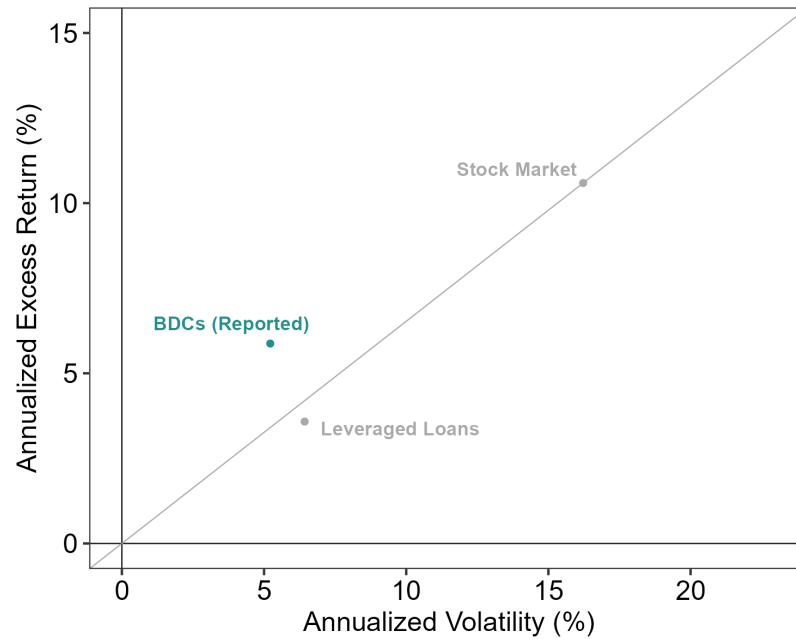


Figure 5: Reported (NAV-based) Risk and Return of BDCs

one should own the investment. Owning the investment could still improve an investors' returns, but whether it does depends on the investment's correlation with the stock market.

Two features of BDCs' explain why their returns are generally higher than leveraged loans' returns. First, BDCs are generally assumed to earn an "illiquidity premium" on their investments because their investments are bespoke and do not trade. Put simply, private credit loans come with higher interest rates than similarly risky, traded loans because private credit lenders (like BDCs) must be compensated for the fact that they cannot easily exit their investments. Second, BDCs use substantial leverage to further boost investors' returns. As I described in Part II above, BDCs borrow about \$1 for each \$1 of investor capital. Leverage magnifies investors' gains and losses and leads to higher cumulative returns over time. For example, the returns of a fund that is levered 1:1 debt-to-equity will be twice as high (or its losses will be twice as large) as an identical fund with no leverage (prior to interest expense and fees).

However, the fact that BDCs reported lower volatility than leveraged loans is puzzling because BDCs use leverage. By magnifying both gains and losses, leverage increases volatility. The fact that BDCs report lower volatility than leveraged loans despite their substantial leverage implies that the reported returns of BDCs' underlying investments must be far less volatile than leveraged loans' returns. This implication is surprising, however, because the BDCs' loans are typically described as having similar credit quality to leveraged loans (e.g., "below investment grade" or "junk" credit ratings).¹⁹⁹

The volatility gap between BDCs' and leveraged loans' raises the possibility that BDCs are underreporting their risk. In the subsections that follow, I explore the idea that BDCs are underreporting their risks and gauge the magnitude of the potential underreporting.

1. Reported Returns vs. Market Returns for Public BDCs

In Figure 6, I approach the question of whether BDCs' are underreporting their investment risk by focusing on public BDCs, which have exchange-traded shares. Figure 6 has the same axes and main features as Figure 5, but it adds two details. First, it splits the BDCs into three separate points, one for each type of BDC (public, private, and non-traded — see Section II.A for details). Second, Figure 6 adds a new point that plots the risk and return of the public BDCs' traded shares.²⁰⁰ In contrast to the NAV-based returns of

¹⁹⁹ See, e.g., Blackstone Private Credit Fund, Annual Report, *supra* note 179, at 48 ("[W]e invest in securities that are rated below investment grade by rating agencies or that would be rated below investment grade if they were rated.")

²⁰⁰ I obtain data on the returns of the public BDCs' traded shares from CRSP. See the Appendix for more details. This index is a weighted average return across all public BDCs for which I obtained data, where weights are determined based on each BDC's market cap

the public BDCs, the trading price-based returns contain market-tested information about the risk of owning the BDCs' underlying investments. Consistent with underreported volatility, public BDCs' trading-based returns in Figure 6 have more than 4x the volatility of these BDCs' reported returns.

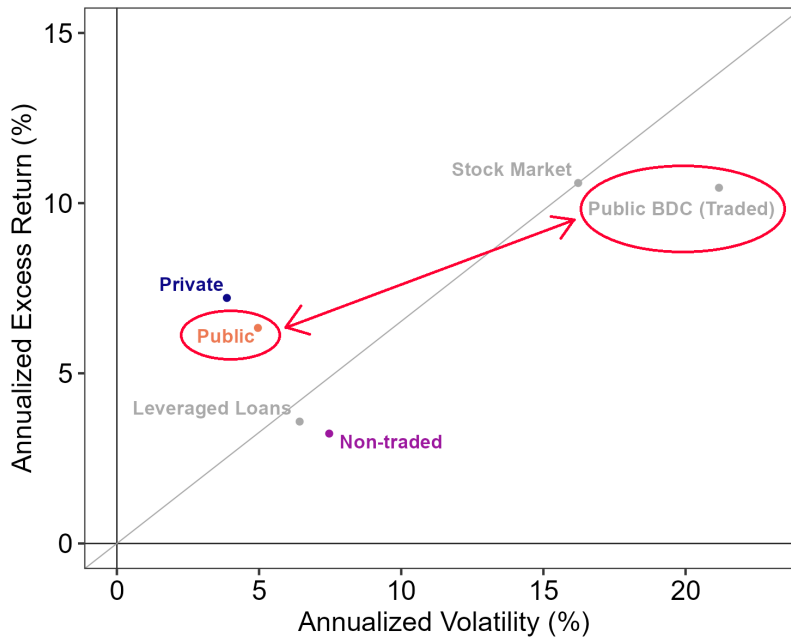


Figure 6: Volatility Gap Between NAV- and Market Price-based Returns of Public BDCs

It is important to acknowledge that Figure 6 is not, by itself, definitive proof that public BDCs are underreporting their risk. Other types of closed-end funds, even those for which investment valuations are not contestable (e.g., funds that invest only in public company stocks), rarely have a share price that is exactly equal to their reported NAV. The ever-fluctuating discount or premium of these funds adds volatility to their share-price based returns. For this reason, the correct volatility of public BDCs' reported (NAV-based) returns, whatever it may be, is most likely a bit lower than the volatility of these BDCs' trading returns. But even with this caveat in mind, it is highly unlikely that the entire gap between public BDCs' NAV-based volatility (~5%) and trading price-based volatility (>20%) can be explained by a fluctuating discount or premium.

at the beginning of the quarter. To ensure comparability, volatility is calculated by annualizing quarterly returns rather than by annualizing returns from a shorter time period.

2. Reported Returns vs. Returns of Synthetic BDCs

Next, I assess BDCs' reported volatilities from a different angle by comparing them to the volatilities of several "synthetic BDCs" that I construct. I build synthetic BDC returns by starting with the returns of leveraged loan indexes of varying credit risk levels and then adding ingredients—illiquidity premia, leverage, and fees and expenses—to build several sets of returns that are as comparable as possible to BDCs' NAV-based returns.²⁰¹ One advantage of this approach is that it allows me to build sets of returns that match the unique characteristics (e.g., leverage and fee levels) of each different BDC type. These different sets of returns let me gauge what the volatilities of private and non-traded BDCs might look like if they were tied more closely to public markets. Another advantage is that this approach avoids the problems with relying on public BDCs' share price-based returns, which include a fluctuating discount/premium component. The disadvantage of using synthetic BDCs is that leveraged loans are not identical to private credit loans in all material respects, so my synthetic BDCs are still not a perfect comparison.

Figure 7 charts the NAV-based, annualized return volatilities for each BDC type (public, private, and non-traded) along with the annualized volatilities of nine different sets of synthetic BDC returns. There are three sets of synthetic returns for each BDC type, one set for each of three different credit ratings: BB, B, and CCC. These credit ratings reflect the credit ratings of the leveraged loan indexes that I use as the base for creating the synthetic BDC returns.²⁰² Each of these credit risk ratings would be considered a "high yield" or "junk" rating, with BB being the safest and CCC being the riskiest.

Figure 7 shows that for each assumed credit rating, the synthetic BDC returns have noticeably higher volatilities than the NAV-based, reported returns. The magnitude of the volatility gap depends substantially on the BDC type and the assumed credit risk level. For non-traded BDCs, the BB synthetic return volatility is about 20 percent higher than the reported return volatility. For private BDCs, on the other hand, the BB synthetic return volatility is more than double the reported return volatility, and the CCC

²⁰¹ For each synthetic BDC, I choose an illiquidity premium that allows me to exactly match the synthetic BDC's cumulative return to the actual BDCs' cumulative, NAV-based returns (for a given BDC type). I report these illiquidity premia for each BDC type and leveraged loan risk level in a table in the Appendix. Leverage is equal to average assets divided by average net assets for each quarter. Like average net assets, average assets is calculated by averaged (1) starting assets and (2) ending assets minus capital gains. The expense ratio is equal to total investment income minus net investment income, divided by average net assets. All of these variables are averaged across BDCs within each type by weighting them by average net assets.

²⁰² I use the Morningstar LSTA US Leveraged Loan index for each credit level.

synthetic return volatility is 450 percent higher. These results seem to indicate that BDCs' reported returns have lower volatility than they would have if they were based on market prices and that, under most sets of assumptions, the missing volatility is economically meaningful.

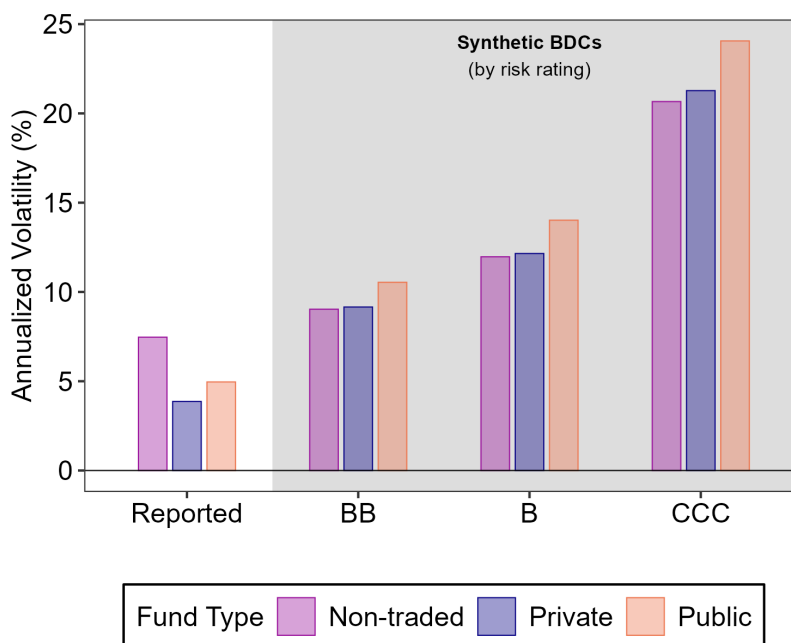


Figure 7: Volatility Gap Between Reported Returns and Synthetic BDC Returns

Figure 8 provides some indication of what private and non-traded BDCs' performance charts would look like if their returns were tied more closely to public market fluctuations. The dark, solid lines on the chart plot these BDC types' NAV-based returns from 2015 through 2024. The lighter, shaded ribbons capture a range of potential alternate returns based on the synthetic BDCs' returns. The ribbons represent the narrowest band within which the cumulative returns would fall of each synthetic BDC for each BDC type. The ribbons encompass the BB, B, and CCC synthetic BDCs, as well as a fourth synthetic BDC for each type based on the overall Morningstar LSTA leveraged loan index.²⁰³

²⁰³ This index is the same index that was used to create Figures 4 and 5 above. It includes loans from all of the different credit risk levels reflected in the leveraged loan market.

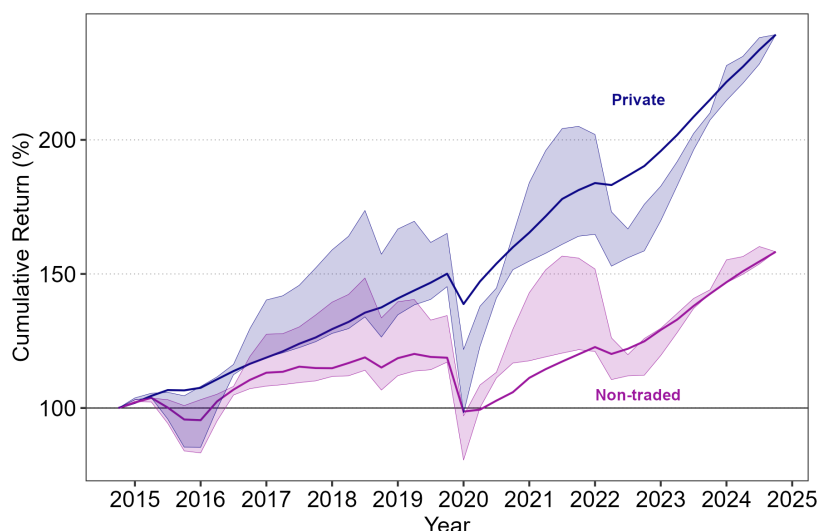


Figure 8: Reported Returns vs. Synthetic BDC Returns, Private and Non-traded BDCs

Figure 8 reveals that private BDCs and non-traded BDCs would likely have reported substantially larger losses than they did during periods in which leveraged loan prices fell if their returns were tied more closely to public market movements. This reporting change would make these BDCs appear much less safe, and therefore less attractive, than they appear based on their NAV-based returns.

Overall, this evidence seems consistent with BDCs smoothing their NAV-based returns in a way that is in line with private market practices. In other words, the current set of SEC regulations for BDCs, and perhaps other retail private funds, appears to be insufficient to prevent the problems for retail investors caused by underreported volatility that I described in Part III.²⁰⁴ Motivated by this finding, I turn in Part V below to a discussion of policy measures that could be used to reduce return smoothing and better protect retail investors.

B. Evidence that Retail Investors Get Worse Products

In this Section, I explore evidence for whether retail investors in the BDC market get access to worse products than wealthier investors. BDCs provide a reasonable setting for studying adverse selection in private markets for two reasons. First, BDCs of all types generally make quite similar investments as

²⁰⁴ See *supra* Section III.A for a detailed discussion of these issues.

a result of their structures and statutory requirements.²⁰⁵ Second, different types of BDCs use different distribution channels and are accessible to different groups of investors. Most importantly for my purposes, non-traded BDCs and private BDCs are accessible to different wealth classes of investors even though both types rely on tools other than exchange trading to offer investors periodic liquidity. Of the two, non-traded BDCs are accessible to less wealthy and less sophisticated customers, primarily through brokers and wealth advisers who can charge sales commissions.²⁰⁶ As described in Section III.B, these factors create a risk of adverse selection across BDC fund types, where the funds structured as non-traded BDCs and open to retail customers perform worse than funds structured as private BDCs.

In this Section, I examine whether return data from 2015 to 2024 are consistent with the adverse selection hypothesis by comparing the returns of non-traded BDCs and private BDCs. I find that private BDCs perform significantly better, on average, than non-traded BDCs, even after controlling for several fund-level characteristics that might affect returns. I include public BDCs in my statistical tests as well, though they are not the focus of the analysis. Public BDCs have become less common and less important over time, and the fact that their shares are traded might mean that fund managers choose the public structure for reasons other than the selection issues I am interested in. Public BDCs' NAV-based returns are also less important because their investors' returns are based on market prices. Even so, it is worth noting that public BDCs, which are easily accessible to retail customers, do not have higher NAV-based returns than non-traded BDCs and have lower NAV-based returns than private BDCs.

Table 2 reports the primary regression results. Both columns report the results of ordinary least squares (OLS) regressions that test for differences in net-of-fees, NAV-based returns across different BDC types controlling for (1) time, (2) fund size, (3) fund leverage, and (4) the percentage of BDC assets invested in four different investment types: first-lien senior secured loans, second-lien senior secured loans, other senior secured loans, and all other investments (including common and preferred equity).²⁰⁷ Column (1) uses the full sample of BDC-quarters (with complete data), and Column (2)

²⁰⁵ See *supra* Section II.A for more details.

²⁰⁶ For an overview of the differences between private and non-traded BDCs, see *supra* Section II.A.

²⁰⁷ The dependent variable, quarterly net return, is winsorized at 1% and 99% to minimize the impact of outliers. I control for time using year-by-quarter fixed effects. I control for size using the logarithm of average assets. See *supra* note 201 for a discussion of how average assets is calculated. I control for fund leverage using the ratio of average NAV to average assets. Finally, investment type percentages are calculated using Pitchbook investment data. See the Appendix for more details. The percentage of investments in categories other than senior secured loans is omitted from the regression specification to prevent multicollinearity.

uses a smaller sample that includes only BDC-quarters with more than 90% of assets invested in senior secured loans. The coefficient estimates in Table 2 can be interpreted as average differences in quarterly net returns between the BDCs of the named BDC types (private and public) and non-traded BDCs (which were the omitted category) that have similar observable characteristics.

Table 2 shows private BDCs outperformed non-traded BDCs with similar characteristics during the sample period by around 60 basis points per quarter—or about 2.4 percentage points per year—on average. Public BDCs, on the other, performed very similarly to non-traded BDCs (based on their NAV-based returns).

Dependent Variable:	Net Return (%)	
Model:	(1)	(2)
<i>Variables</i>		
Private	0.6528*** (0.2036)	0.5767** (0.2565)
Public	-0.0044 (0.2986)	-0.0491 (0.2669)
<i>Fixed-effects</i>		
t	Yes	Yes
Controls	Yes	Yes
Filtered Sample	No	Yes
<i>Fit statistics</i>		
Observations	3,595	1,417
R ²	0.32947	0.41863
Within R ²	0.04260	0.06437
<i>Clustered (cik) standard-errors in parentheses</i>		
<i>Signif. Codes: ***: 0.01, **: 0.05, *: 0.1</i>		

Table 2: Quarterly Net Returns by BDC Type

Next, I explore the factors driving differences in BDC performance by breaking net returns into their two components: gross returns and expenses. The regression specifications in Table 3 are the same as in Table 2, but they use gross returns and expenses as the dependent variables. As before, Columns (1) and (3) use the full sample, and Columns (2) and (4) use a smaller sample of BDC-quarters that almost exclusively hold senior secured loans. The results in Table 3 show that both private and public BDCs generally earn higher gross returns on their investments than non-traded BDCs, but that public BDCs have higher fees and expenses that almost

perfectly offset their higher returns. Private BDCs, on the other hand, charge fees that are about the same as non-traded BDCs, or perhaps a bit lower, so their investors earn higher net returns.

Dependent Variables: Model:	Gross Return (%)		Expenses (%)	
	(1)	(2)	(3)	(4)
<i>Variables</i>				
Private	0.3728* (0.1989)	0.6496*** (0.2408)	-0.2475* (0.1272)	0.1426 (0.1635)
Public	0.3543 (0.2751)	0.5183* (0.2852)	0.3291** (0.1266)	0.5989*** (0.1439)
<i>Fixed-effects</i>				
t	Yes	Yes	Yes	Yes
Controls	Yes	Yes	Yes	Yes
Filtered Sample	No	Yes	No	Yes
<i>Fit statistics</i>				
Observations	3,595	1,417	3,595	1,417
R ²	0.35426	0.46754	0.43651	0.46036
Within R ²	0.08654	0.15555	0.40428	0.42628

Clustered (cik) standard-errors in parentheses

*Signif. Codes: ***: 0.01, **: 0.05, *: 0.1*

Table 3: Quarterly Gross Returns and Expenses by BDC Type

These results are broadly consistent with the theory that retail investors get access to lower-performing private market investment products than wealthier investors. However, they should not be interpreted as anything more than suggestive evidence consistent with the theory because I am unable to rule out alternative explanations for the return gap. One plausible alternative explanation is that private BDCs make riskier investments than non-traded BDCs, even conditional on investment type, so they are compensated appropriately for bearing increased risk. For example, if a private BDC makes a first-lien, senior-secured loan to a company in a unique, hard to evaluate situation, then the private BDC should expect to earn a higher return than the typical return on a first-lien senior secured loan. Another possibility is that non-traded BDCs may have to hold more cash or more liquid investments if they offer more generous liquidity to their investors, which would drag down their returns.

Regardless, the large performance gap between private and non-traded BDCs—coupled with the theoretical reasons to worry about adverse selection—provides important evidence that retail private fund industry

dynamics warrant scrutiny and that existing legal standards and enforcement mechanisms do not ensure that retail investors get the highest performing private market products.

It is also worth noting that the result in Tables 2 and 3 (and the results from Section IV.A above) do not fully account for the impact of fees on the returns of individual investors in non-traded BDCs. The returns I use for non-traded BDCs are averaged across all share classes, including those sold to institutional investors with lower fees. Because retail investors hold shares with higher fees than this average, their performance is worse, and perhaps significantly so. Certain retail share classes commonly charge fees that are 85 basis points per year higher than the fees on institutional share classes.²⁰⁸ In addition, brokers are allowed to charge commissions on sales of certain retail shares that are as high as 3.5% of NAV.²⁰⁹ Upfront charges significantly dampen returns, especially for investors with relatively short holding periods. Additionally, some non-traded BDCs (and private BDCs) have penalty fees for shareholders who exit the fund too early.

In the following Part, I discuss political changes the SEC could implement to reduce the risk of adverse selection in retail private funds.

V. POLICY

In this Part, I address the key policy questions motivating this paper and currently facing the SEC: To what extent should retail investor be allowed to invest in vehicles that invest in private market assets, and what guardrails should be in place? I do so in light of the institutional information and data presented in the previous parts.

I focus on the two risks facing retail investors about which I supplied evidence in Part IV. I discuss whether each risk can be addressed through corrections to disclosure practices or with substantive restrictions, and I discuss specific reforms that could mitigate the risk factors I identify.

The first risk I address is that retail investors will buy into retail private funds without understanding the risks they are taking on because the funds are not adequately disclosing the volatility in the market values of their underlying assets. The second is that, within the private investment asset class, retail investors will be sold the worst performing products.

²⁰⁸ See *supra* note 118 for a detailed example of the differences in fees across share classes in the Blackstone Private Credit Fund.

²⁰⁹ See *supra* note 118. In prior years, brokers were sometimes allowed to charge even higher sales loads on non-traded BDC share sales. For example, the CION BDC discussed in the introduction allowed sales loads that could be as high as 10% of NAV. See *supra* note 9 and accompanying text.

A. Solutions for Underreported Volatility

The good news about the myriad problems with retail private funds' low reported volatility is that they have a straightforward solution, at least in theory: force funds to report investment values that accurately match what the investments could be sold for in public markets. If funds did this, retail investors would see at least four benefits:

- (1) Investors would be able to easily observe the risk level of retail private funds by observing their reported performance;
- (2) Managers would have less of an incentive to stop meeting redemption requests during downturns because selling assets to fund redemptions would not force surprising downward revisions in NAV;
- (3) Investors who exited during a downturn would not get more than their fair share of assets; and
- (4) The volatility of fund shares would not increase dramatically if the shares were listed on an exchange.

As simple as it sounds, this solution is likely not easy to implement. The reason is that, under current SEC rules and accounting standards, funds are already required to report their assets at "fair value," which is the price they could reasonably fetch on the open market.²¹⁰ Funds also already employ sophisticated valuation consultants to help them value their portfolios,²¹¹ and the apparent underreporting of asset price volatility persists despite these standards and the complex valuation apparatus that goes along with them.

Part of the problem is that normal enforcement tools, like bringing enforcement actions against fund boards for garden variety securities fraud in connection with their valuations, seem unlikely to be successful here. Showing that volatility seems unreasonably low in aggregate across all retail private funds is much simpler than showing that a sponsor knowingly misrepresented the valuations of individual, private investments in a single fund.²¹² The process of valuing an illiquid, private investment typically yields a range of defensible values. Additionally, there is no observable "true" valuation that can be used to show that a valuation used by the fund's board was false when reported. Compounding the problem is the fact that portfolio companies invested in by the funds likely do not have public company-quality financial statements available to support close scrutiny of the funds'

²¹⁰ See *supra* note 166.

²¹¹ Pangas, *supra* note 106 (slide 43) (discussing "[u]se of independent third-party valuation consultants to assist" in valuing BDC assets).

²¹² For a summary of the elements of a securities fraud claim under Rule 10b-5, see *Rule 10b-5*, CORNELL L. SCH.: LEGAL INFO. INST. (Jan. 2022), https://www.law.cornell.edu/wex/rule_10b-5. These elements include knowingly misrepresenting a material fact. *Id.*

valuation practices. Finally, if every retail private fund and private fund is valuing their assets the same way, then it gets harder to show than any particular fund's practices are improper.

What tools are available to the SEC to improve things? One possibility, without changing the current rules, is for the SEC to play a more significant role in scrutinizing funds' valuation practices. The SEC examines investment advisers and investment companies and could make private asset valuations an exam priority.²¹³ It could ask hard questions about the assumptions used by funds and their valuation advisors and make it clear that it really expects funds to mark their illiquid assets to market based on what those assets could plausibly fetch in a market transaction. The SEC could also issue staff guidance on valuation practices and assumptions it finds particularly concerning. More guidance and pressure from the SEC could go a long way toward changing the culture in the industry around valuation practices.

The SEC could also require funds to make more disclosures about their valuation practices and assumptions. For example, the SEC could require funds to disclose the results of backtests that show how often they sell assets for values that differ from the values at which those assets were held, and by what margin. The SEC could also require funds to disclose changes in market prices for publicly traded investments their boards deem most comparable to their private investments and justify their decisions to mark their private investments differently. Finally, the SEC could require funds to disclose information about how sensitive their NAVs are to various valuation assumptions. None of these disclosures would force funds to behave differently, but they would shed more light on the industry's practices and could force a greater measure of discipline over time. Increased disclosure would likely increase the costs associated with valuing funds' assets, however, which could end up increasing investors' fees.

A third possibility would be for the SEC to allow retail investors to only purchase non-traded retail private funds in their retirement accounts.²¹⁴ To do so, the SEC would have to restrict retail private fund purchases more than they currently are. However, in theory at least, investors do not need short term access to their retirement funds, so they might be less likely to request

²¹³ *About the Division of Examinations*, U.S. SEC. & EXCH. COMM'N (June 29, 2024), <https://www.sec.gov/about/divisions-offices/division-examinations/about-division-examinations>. The SEC's Fiscal Year 2026 guidelines already list practices for valuing illiquid investments in closed-end funds as one of several "developing areas of interest." U.S. Sec. & Exch. Comm'n., *Fiscal Year 2026 Examination Priorities*, <https://www.sec.gov/files/2026-exam-priorities.pdf>.

²¹⁴ I am grateful to Professor Howell Jackson for encouraging me to think through this possibility.

redemptions during downturns and cause all of the problems associated with holding illiquid investments inside a semiliquid fund.²¹⁵

B. Solutions for Adverse Selection

In dealing with adverse selection in private markets, the first question to answer is whether retail investors have any business investing in private markets at all. Many observers have the view that private market excess returns have compressed to the point of being almost non-existent. From this perspective, retail investors would miss nothing performance-wise if they were confined to public markets and they would avoid lots of situations where they might end up purchasing a mediocre allocation of investments at an unjustifiably high cost. This line of thinking leads to the simple policy prescription that retail investors should not be allowed invest in any private investments, directly or indirectly, through either registered or private funds. Accomplishing this goal would require rewriting the federal securities laws to, among other things, (1) prevent closed-end funds from investing in private placement securities, (2) eliminate BDCs as a fund option, and (3) narrow the accredited investor definition to exclude even wealthy but less sophisticated “mass affluent” investors.

Because my empirical results do not speak directly to the question of how well private markets perform relative to public markets, and in the interest of making this policy discussion useful to readers with a range of views, I do not adopt the view in this Section that retail investors have no place in private markets. Rather, this Section discusses a range of ideas that could be used to mitigate adverse selection in private markets while taking it as given that retail investors currently have indirect access and will likely gain more access in the future.

With this more permissive perspective, I argue that two related types of reforms could together reduce adverse selection. The first type consists of reforms aimed at reducing the costs of selling private investment products to retail customers. The second type consists of reforms that make it less attractive for fund managers and intermediaries to sell poor-performing products to retail investors.

Reforms in the first category—i.e., those designed to make it less costly to sell private investment products to retail customers—are often counterintuitive. They seem to run directly against the intuitions that might lead someone to keep retail investors out of private markets entirely.

The reason these reforms are necessary is that, if selling private market products to retail customers is too difficult, expensive, or impractical, high-

²¹⁵ See *supra* Section III.A for a through description of these problems.

quality fund managers will tend to abandon retail distribution and raise capital only from institutional investors. Raising capital from institutions and high-net-worth individuals may be more expensive for some of these managers than others. But if these managers are skilled and have access to good deals and if sophisticated investors can verify these facts, then they will be able to raise money through private channels and will not put up with the hassle of dealing with retail investors. In such a world, the only fund managers who would be willing to raise money from retail customers would be those with no chance of getting money from institutions, presumably because their funds are of sufficiently low quality.

On the other hand, if raising capital from retail customers is reasonably straightforward, some high-quality fund managers will choose to raise money from retail customers because it makes more sense for them. Having these funds enter the retail market would improve the overall pool of investments available to retail.

Several of the SEC's recent reforms can be understood through this logic. For example, the SEC's gradual evolution toward providing liberal co-investment exemptive relief under Rule 17d-1 seems to reflect the view that, without a workable co-investment framework, sponsors will choose not to allocate many of their best investments to retail funds to avoid the regulatory hassle.²¹⁶ Similarly, the SEC's decision to allow multiple share classes for non-traded BDCs (and, more recently, private BDCs) makes it easier for sponsors to include retail investors in vehicles that they previously may have launched only for institutional clients. Now, these sponsors can launch one fund with multiple investor types and higher fees for retail investors that cover the extra costs of selling to and servicing them. Not only does having fewer vehicles help sponsors and their investors save on administrative and legal expenses, it also allows more investors to invest in the same pools of assets. This arrangement, in turn, reduces the part of the performance gap between investor classes that is attributable to opaque allocation practices as opposed to transparent differences in fees.²¹⁷ The SEC's recent decision to

²¹⁶ Blass & Chanda, *supra* note 131 ("While the SEC's goal of protecting registered funds and their shareholders are well intentioned, the exclusion of registered funds from Negotiated Co-Investments is ultimately to the detriment of retail investors. Co-investments generally provide registered funds a host of benefits, including an increase in deal flow, the opportunity to participate in larger financing commitments and enhanced selectivity, and more favorable deal terms."); *see also* Jack W. Murphy, *Cutting Through the Gordian Knot: It's Time to Revise Rule 17d-1 Under the Investment Company Act of 1940*, 74 CATH. U. L. REV. 226, 230 n.13 (2025) ("The possibility of parties foregoing beneficial transactions rather than undertaking to obtain an order has been recognized by the Commission as an indirect cost of the application process.").

²¹⁷ Recent research lends support to this view. Pegoraro, Shive, and Zambrana find that, among interval funds with low minimum investments, funds that have retail and institutional

allow closed-end funds to invest in private fund stakes with fewer restrictions can also be justified through similar arguments.²¹⁸

The SEC could continue reducing the costs associated with raising money from retail customers by implementing further reforms. One possibility would be to codify the SEC's practices regarding co-investment exemptive relief to eliminate the application process. Another possibility would be to amend the definition of "covered securities" to include non-traded BDCs. This change would reduce the cost of launching non-traded BDCs by eliminating the need to comply with state blue sky laws. Then, some sponsors who would otherwise opt for an evergreen private BDC might choose a non-traded BDC instead, allowing a broader pool of investors into their fund. These new non-traded BDCs might then increase the overall quality of BDCs made available to non-accredited investors.

The problem, however, with only lowering the cost of accessing retail customers without making other changes is that easier access to retail investors might also lead to an influx of low-quality investment options into retail distribution channels. For example, lowering the cost of launching a non-traded BDC makes the structure more attractive to both high- and low-skill investment managers. Flexible co-investment programs also make it easier to both include retail-focused vehicles in good deals and exclude them with minimal justification or oversight.

The problems that come from making it too easy to sell to retail investors seem especially relevant for the Trump Administration's recent push to get more private investment vehicles into workplace retirement programs. If the Department of Labor were to facilitate such access by creating a special carveout or safe harbor in ERISA for private investment products, then it would certainly lower the cost to private fund managers of accessing retail customers. Managers would gain access to large pools of dedicated investment capital through well-defined distribution channels with reduced litigation risk. But the cost reductions in such a reform would come from reducing the fiduciary protections in ERISA that are meant to stop retirement plan providers from offering bad products to retail customers. For this reason, it seems possible that many mediocre investment funds would make their way into workplace retirement plan menus if a carveout or safe harbor were implemented.

To make sure the first set of reforms succeeds then, a second set of reforms is necessary. These reforms would make it less appealing for managers and intermediaries to sell low-quality investments

share classes do better relative to comparable benchmarks than funds with single share. See Pegoraro, Shive & Zambrana, *supra* note 31, at 21–22, 51. This result is stronger among fixed income products than among equity products. *Id.* at 51.

²¹⁸ SEC Drops 15% Limit in Private Funds for Retail Closed-End Funds, *supra* note 143.

disproportionately to retail customers. Reforms could do this by either raising the legal and reputational costs or decreasing the benefits of selling to retail investors.

First, the SEC could make it more of a priority to sanction sponsors and financial intermediaries that are not meeting their fiduciary duties and other legal obligations. The SEC could do this informally by applying pressure through examinations and guidance. Because the SEC has limited resources and staff with which to monitor advisers and brokers, state securities regulators could be asked to play an even larger role than they already do in reviewing sponsors' compliance with allocation policies and brokers' sales practices. In egregious cases, formal litigation—including both public enforcement actions and private investor lawsuits—could also play a role in disciplining sponsors and intermediaries. However, because these players' legal obligations consist of flexible and somewhat subject standards, proving that they have been violated would likely prove difficult in all but the most extreme cases.

A different approach of allowing retail investors to invest in retail private funds only through employer-sponsored retirement plans—assuming no special carveouts or safe harbors are added to ERISA—might also reduce their access to low-quality funds, on average. Retail private funds offered through workplace retirement plans would be subject to an extra level of scrutiny by financially knowledgeable plan managers with fiduciary duties under ERISA.²¹⁹ These retail funds would also be exposed to an extra level of litigation risk, which would make it less lucrative to distribute poor performing products.²²⁰ If the ERISA apparatus works well, this could help ensure that retail investors are not getting stuck with the worst funds.

Second, disclosure reforms would give investors more tools to be able to screen out lower quality investments on their own. Over time, this would make it less lucrative for sponsors and intermediaries to attempt to channel

²¹⁹ For an overview of the fiduciary responsibilities of those who oversee employee retirement plans, see generally U.S. DEP'T OF LABOR, EMP. BENEFITS SEC. ADMIN. (EBSA), MEETING YOUR FIDUCIARY RESPONSIBILITIES (Sept. 2021), <https://www.dol.gov/sites/dolgov/files/EBSA/about-ebsa/our-activities/resource-center/publications/meeting-your-fiduciary-responsibilities-booklet-2021.pdf>.

²²⁰ See Chris Cumming & Luis Garcia, *Plaintiffs' Lawyers Are Ready to Pounce if Private Equity Pushes Into 401(k) Plans*, WALL ST. J. (Jul. 20, 2025), <https://www.wsj.com/articles/plaintiffs-lawyers-are-ready-to-pounce-if-private-equity-pushes-into-401-k-plans-390a3972>; *As Private Equity Firms Work to Access 401(k) Market, Plaintiff Lawyers Gear Up to Sue*, 11 THE CAPITOL FORUM 1 (Apr. 10, 2023), <https://www.wagnerlawgroup.com/wp-content/uploads/sites/1101401/2023/04/041023CapitolForumArticleTECQuote.pdf>; Silla Brush & Lydia Beyoud, *Private Equity Wants In On Your 401(k). This Lawyer Is Ready to Fight*, BLOOMBERG (Feb. 11, 2026), <https://www.bloomberg.com/news/articles/2026-02-11/the-lawyer-ready-to-fight-private-equity-in-retirement-plans>.

poor products to retail customers. If retail investors could more easily assess what fees they are being charged and observe when their funds are performing poorly, they could withdraw their money from poor investments or choose not to invest in them in the first place.

The most important change that needs to be made to performance disclosure is the change I recommend in Section V.A above. If retail private fund valuations are appropriately tied to public market movements, then retail investors will be able to much more easily assess their performance and risks relative to other investment opportunities. Another possible reform would be to require funds in their regular disclosures to report their returns alongside the returns of all other funds operated by the same sponsor with a similar investment strategy. This internal benchmarking would allow retail investors to directly observe if their funds performed similarly to, or worse than, other comparable products managed by the same sponsor.

Several simple changes to fee rules and fee disclosures would also make comparing funds much more straightforward. For starters, the SEC should allow all retail private funds to charge the same types of fees and require them to calculate their fees from the same base figures. As it stands today, non-traded and private BDCs are allowed to charge (and generally do charge) performance fees on their income and capital gains.²²¹ Interval and tender offer funds that are open to retail (non-qualified client) investors, on the other hand, sometimes do not charge performance fees, and sometimes charge performance fees on interest and dividend income (but not capital gains).²²² Further complicating matters, some funds calculate management fees based on total assets and some calculate them based on net assets, and these bases can differ substantially for funds that use leverage. It is much easier for retail investors to compare the fees of two funds that charge the same types of fees on the same base figures, so the SEC should eliminate these discrepancies.

Next, the SEC could change the way funds report incentive fees in their registration statements. Funds that file a Form N-2 registration statement are required to include a few nice tables that break down their fees. However, many funds submit tables that report zeros in the rows for incentive fees and merely drop a footnote that says, “As we cannot predict whether we will meet the necessary performance targets, we have assumed no incentive fee for this chart.”²²³ This disclosure is not helpful to investors, nor is it totally accurate. Especially for funds like BDCs and interval funds that make mostly private credit investments, sponsors can predict with a reasonably degree of certainty

²²¹ See *supra* Section II.A.

²²² See *supra* Section II.B.

²²³ Blackstone Private Credit Fund, Registration Statement (Form N-2) (Apr. 25, 2022), <https://www.sec.gov/Archives/edgar/data/1803498/000119312522117898/d356740dn2.htm> (pages 26–27 under “Fees and Expenses”).

what their investment income and performance fees might be. Similarly, in another common table that estimates fees over the first several years of a fund's life, funds typically assume a 5% annual return,²²⁴ which does not exceed the hurdle rate for some retail private funds²²⁵ and is lower than most of these funds' anticipated returns.²²⁶ As a result, both of these examples underestimate likely incentive fees. It would make more sense for these funds to calculate fees based on the historical performance of several comparable funds or based on the interest rate of some benchmark. Predicting fees perfectly is not necessary. Any reasonable estimate of performance fees would be more useful to investors than the current zeros.

CONCLUSION

Over the past 10 years, tens of billions of dollars have flowed into new investment funds that promise exclusive access to private market investments for retail investors. Some of these products target the "mass affluent," but many are open to ordinary savers with modest incomes and net worths. Proponents of the new retail private funds argue that they give investors an unprecedented opportunity to diversify their portfolios and build wealth with low risk. Critics, however, warn that these products contain subtle dangers for unwary investors.

As I have explained throughout this paper, the new funds are structured in a way that is both innovative and familiar: they use regulated fund structures (like BDCs and closed-end funds) that can be sold to retail investors to wrap private investments that cannot be sold directly to retail. But unlike traditional registered funds, the new funds are usually not listed on stock exchanges. Their shares can generally only be purchased through financial intermediaries, and investors receive liquidity only through periodic, limited share repurchases.

The way retail private funds are being structured creates several risks to investors. I highlight two. The first is that the lack of market prices forces investors to rely on funds' self-reported performance data. I present evidence suggesting that the volatility of funds' reported returns is implausibly low and understates the funds' risk. As it stands, current reporting practices set retail

²²⁴ *Id.* (pages 28–29).

²²⁵ *Id.* (page 27) ("If we achieved an annualized total return of 5% for each quarter made up entirely of net investment income, no incentive fees would be payable to the Adviser because the hurdle rate was not exceeded.")

²²⁶ See Brian Moriarty & Alex Lucas, *The Unappreciated Costs and Risks of Interval Funds*, MORNINGSTAR (May 13, 2025) <https://www.morningstar.com/alternative-investments/unappreciated-costs-risks-interval-funds> (explaining how managers can target high returns by loading up on junk bonds and leverage, earning consistently large incentive fees for themselves in the process).

investors up for unpleasant surprises. Investors may discover during a downturn that they have taken on more risk or that their investments are less accessible than they anticipated.

The second risk I highlight is that sponsors may be selling worse performing products to retail investors than they sell to wealthier investors. I also present some evidence consistent with this type of sorting, though my conclusions are necessarily tentative.

Given the risks inherent in the expanding class of retail private funds, I call on regulators to make thoughtful reforms to the regulatory and disclosure frameworks governing these funds. By improving the reporting of market-based asset valuations and fund fees and by reducing the incentives of sponsors and intermediaries to sell worse performing products to retail customers, the SEC can give investors the tools and access they need to make prudent decisions without choking off innovation in this burgeoning area.

APPENDIX

A. Data

The fund data that I analyze come from the SEC. First, to identify the list of all BDCs operating from 2012 onward, I relied on the annual BDC lists published by the SEC and available online.²²⁷ I categorized the BDCs as public, private, or non-traded based on their SEC filing histories and (where necessary) by reading their Form N-2 registration statements.

For all of the private and non-traded BDCs I identified, I hand collected²²⁸ the following financial variables on a quarterly basis from the BDCs' 10-K and 10-Q filings:

- **Total assets,**
- **Total liabilities,**
- **Gross investment income** (essentially interest and dividends from investments),
- **Net investment income** (interest and dividend income minus operating expenses, which include interest expense on fund leverage, management fees, incentive fees, shareholder servicing and distribution fees, and adviser expenses passed to the fund),
- **Net increase in net assets from operations** (net investment income plus both realized and unrealized capital gains).

For public BDCs included in the Compustat database, I pulled these variables from Compustat and supplemented and corrected as necessary using the BDCs' quarterly filings.

I supplemented these core balance sheet and income statement variables by pulling more granular data on fund fees (e.g., management fees, interest expense, etc.) and performance using the SEC's XBRL API.²²⁹ BDC data is only available through this API starting in about 2020, so these data are more limited. Additionally, BDC reporting and tagging of these more granular data points is somewhat inconsistent, so I was not able to obtain complete data across all BDCs.

From PitchBook, I am also able to obtain granular data about the BDCs' underlying investment portfolios. This data includes the types of investment

²²⁷ *Business Development Company Report*, U.S. SEC. & EXCH. COMM'N, <https://www.sec.gov/about/opendatasetsshtmlbdc> (last updated June 2, 2025).

²²⁸ As a first pass, I wrote a python script that scraped these values from BDC's quarterly filings. Then, I went over the scraped results manually to spot check them and fill in missing data points.

²²⁹ For more information, see *EDGAR Application Programming Interfaces (APIs)*, U.S. SEC. & EXCH. COMM'N (Apr. 8, 2025), <https://www.sec.gov/search-filings/edgar-application-programming-interfaces>.

(e.g., “first lien senior secured loan” or “common equity”), their valuations, and their interest rates (if applicable).

Throughout my analysis, I compare the performance of BDCs to various public benchmarks. From the Center for Research in Security Prices (CRSP) database, I obtain historical performance data for the CRSP value-weighted market index and the historical returns of public BDC’s traded shares. From Morningstar’s website, I obtain historical performance data for several indexes that track the performance of leveraged loans.

B. Additional Figures

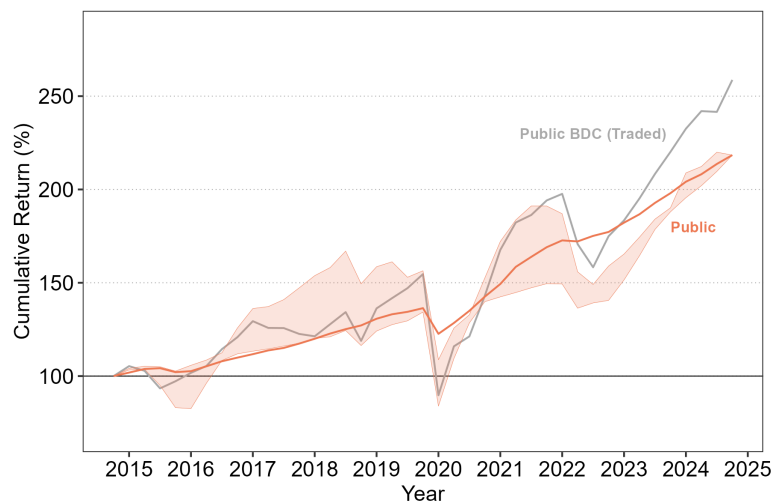


Figure A.1: NAV-based, Market Price-based, and Synthetic BDC Returns, Public BDCs (Cumulative)

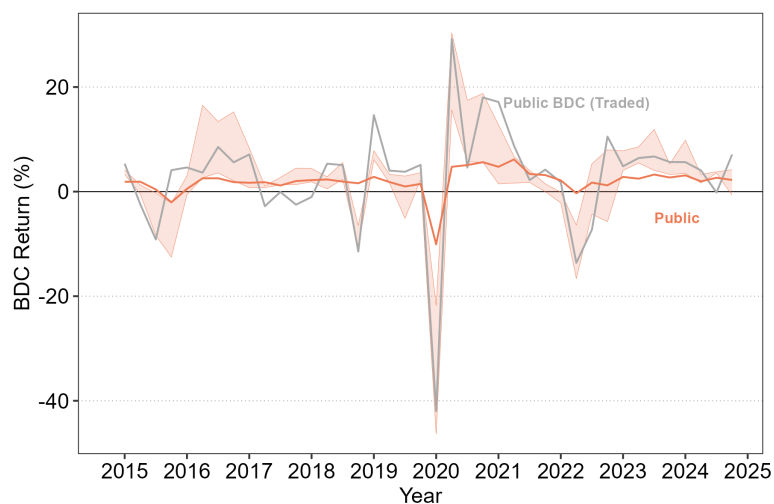


Figure A.2: NAV-based, Market Price-based, and Synthetic BDC Returns, Public BDCs (Quarterly)

C. Additional Tables

Type	BB	B	CCC	Blend
Public	4.67	3.91	4.06	4.23
Private	4.61	3.84	3.79	4.16
Non-traded	2.43	1.69	1.80	2.01
All BDCs	4.27	3.51	3.60	3.83

Table A.1: Synthetic BDC Illiquidity Premia (%)